

DPM
FERTILIZER & CHEMICALS
Cho mùa bội thu

ANNUAL REPORT 2008

PETROVIETNAM FERTILIZER AND CHEMICALS CORPORATION



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DPM

FERTILIZER & CHEMICALS

Cho mùa bội thu



MISSION

Undertake the responsibility of providing a sufficient and reliable source of fertilizer supply, making contribution to the stabilization of domestic fertilizer market and creating a solid foundation for the country's agriculture development while ensuring the best return for shareholders.

VISION

Constantly expanding to become a top - ranking enterprise of multi-sector businesses in Vietnam and in South East Asia, specializing in fertilizer and chemical production.



MESSAGE FROM THE CHAIRMAN

The world economy in 2008 witnessed unpredictable changes. The increase of crude oil prices influenced the Vietnam economy, and made a perturbing effect in the fertilizer market, particularly urea. As a main fertilizer producer with significant market share, PVFCCo is secured enough to be won over by negative influences. In actual fact, PVCCo has maintained its high growth rate and completed its plans with excellent results due to its unique advantages, advanced preparation and hard work. The Corporation continues to improve its organizational structure, expand business and enhance social responsibilities. In 2008, Phu My Fertilizer Plant, a subsidiary of PVFCCo, has exceeded the designed capacity for second consecutive year by rolling out 750,000 tons of urea. PVFCCo sold 741,000 tons of self-produced fertilizers and 198,000 tons of imported fertilizers, gaining a turnover of VND 6,625 billion and VND 1,501 billion of profits.

In 2009, in the context of domestic and global economy depression, PVFCCo focuses on its goals of sustainable development, affirmation of market leading position, meeting the market demands and ensuring shareholders' benefits. The Board of Directors has approved the business plan of 2009 with objectives and duties as follows:

Continue to operate the factory safely to produce 750,000 tons of urea.

Import 250,000 tons of fertilizers and chemicals to supply domestic and international markets.

Strengthen investment projects to diversify PVFCCo's fertilizers and chemical products.

Improve distribution network and production system via subsidiaries to minimize the costs and maximize the profits.

Enhance corporate social responsibilities to promote the brand name of DPM in the market as well as the reputation of The Corporation in the community.

“PVFCCo continues sustainable development.”

We strongly believe that with the strategic vision and leadership of the Board of Directors, the experienced managerial skills of the Executive Board, and the high level of determination and responsibility of all the managers, technicians and workers at PVFCCo, all planned targets for 2009 will be excellently achieved, bringing in direct benefits for shareholders and positively contributing to the development process of the country.

On behalf of the Board of Directors, we would like to express our sincere appreciation to the shareholders for their trust in investing in PVFCCo. We also thank the timely and effective support of the Vietnam National Oil and Gas Group as well as its related agencies. We thank the managers, technicians and workers of PVFCCo for their all-out and continued efforts to bring about PVFCCo’s development. On behalf of the Corporation, we promise to try our best to exceed the manufacturing plan and business targets for 2009 and translate into reality the core values of PVFCCo: “Development”, Sustainability”, “Timely” and “Reliability”.



NGUYEN XUAN THANG
Chairman





CORPORATION HISTORY AND DEVELOPMENT



MAIN EVENTS

Founding

PetroVietnam Fertilizer and Chemicals Corporation (PVFCCo), formerly Petrovietnam Fertilizer and Chemical Joint Stock Company, a member of Vietnam National Oil & Gas Group (PVN), was established under the Decision No. 02/2003/QĐ-VPCP dated 28 March 2003. The Company formally came into operation on 19 January 2004.

Taking over the Phu My Fertilizer Plant

The Phu My Fertilizer Plant project was inaugurated on March 12, 2001. On 21 September 2004, after more than three years of construction, the Technip-Samsung Contractors transferred the Phu My Fertilizer Plant to the PetroVietnam Fertilizer and Chemicals Company to be managed and operated. It formally introduced its products under its own brand name - Dam Phu My (Phu My Fertilizer) - to the market..

Equitizing into a Joint Stock Company

On 15 March 2007, the Ministry of Industry signed Decision 793/QĐ-BCN on endorsing the proposal and the transfer of PetroVietnam Fertilizer and Chemicals Company to become the PetroVietnam Fertilizer and Chemicals Joint Stock Company.

On 21 April 2004, the Company successfully sold 40% of its total shares to the public at the Ho Chi Minh City Stock Exchange.

On 30 June 2007, the Company held the Shareholders General Meeting to form the joint stock company, endorse the Company Charter, and vote for members of the Board of Directors, the Board of Supervisors, and discuss business plans when the joint stock company came into operation.

On 31 August 2007, the Department of Planning and Investment of HCMC granted the PetroVietnam Fertilizer and Chemicals Joint Stock Company with Certificate of Business Registration #4103007696, allowing the Company to formally start operation.

Listing

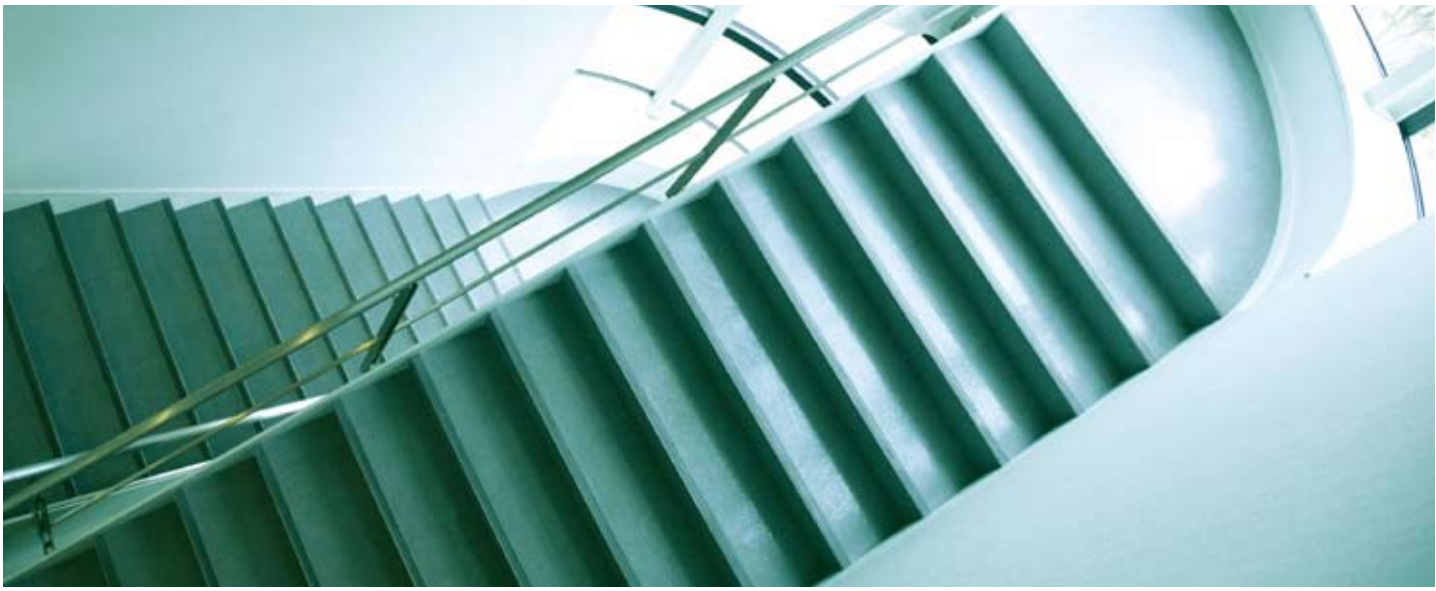
On 29 October 2007, the Company completed the Shares Listing Registration Packet at the Ho Chi Minh City Stock Exchange (HoSE). On 5 November 2007, 380 million shares of the Company were formally listed and traded at HOSE with share symbol DPM.

Kind of shares	Common shares
Share symbol	DPM
Price	10,000 VND/share
Number of listed shares	380,000,000 shares

Transforming into a corporation

On 5 April 2008, the Annual Shareholder Meeting gave approval to transform PVFCCo into a corporation operating under the “Parent company and subsidiary” model.

On 15 May 2008, PVFCCo was granted the Adjusted Business License No. 4103007696 by Ho Chi Minh City’s Planning and Investment Department to officially become a corporation. DPM



OPERATING HISTORY

Business sectors

Manufacturing and trading prilled urea and other fertilizers, liquid ammonia, industrial gases, and other chemical products.

Providing technical services in manufacturing and trading fertilizers and chemicals.

Producing and trading electricity.

Operating status

Since the first lot of products was put on the market under the brand name of Dam Phu My more than four years in the market, the Company has always maintained strong and stable growth, with the manufacturing and trading situation regularly meeting or exceeding plans. Currently, the Company provides the domestic market with 40% of the demand for prilled urea and 40% for liquid ammonia.

In 2007, the Phu My Fertilizer Plant, for the first time, exceeded its designed capacity to produce more than 760,000 tons of urea and this performance continued to be a highlight in 2008 with the roll out of 750,000 tons.

All products are well received by the local market, making significant contribution to stabilize the price and supply of fertilizers in the country, which in return, created profits to the owners and investors.

In 2008, PVFCCo confirmed its leading role in the fertilizer market by importing 268,000 tons and distributing 198,000 tons of imported fertilizers into the local market.

The Corporation will continue the implementation of strategic researches and deployment of investment projects to increase the capability of urea production and diversify products. In 2008, PVFCCo finished all bidding procedures to select qualified contractors to start the project of CO2 collection from exhaust fumes of Phu My Fertilizer Plant to produce urea. The project will start in the first quarter of 2009. After completion, the production capacity of the plant will increase by 60,000 tons to 800,000 tons of urea per year. The Corporation is also in the process of implementing procedures to enter the project of building a DAP Plant in Morocco, as well as projects of NPK and SA fertilizer in the area of Phu My Fertilizer Plant.

Development milestones

March 2001: Groundbreaking of Phu My Fertilizer Plant.

January 2004: PetroVietnam Fertilizer and Chemicals Company formally came into operation.

December 2004: Dam Phu My brand-name products were formally introduced to the market.

August 2007: Transformation into PetroVietnam Fertilizer and Chemicals Joint Stock Company.

November 2007: PVFCCo's shares were listed and traded on the Ho Chi Minh City Stock Exchange.

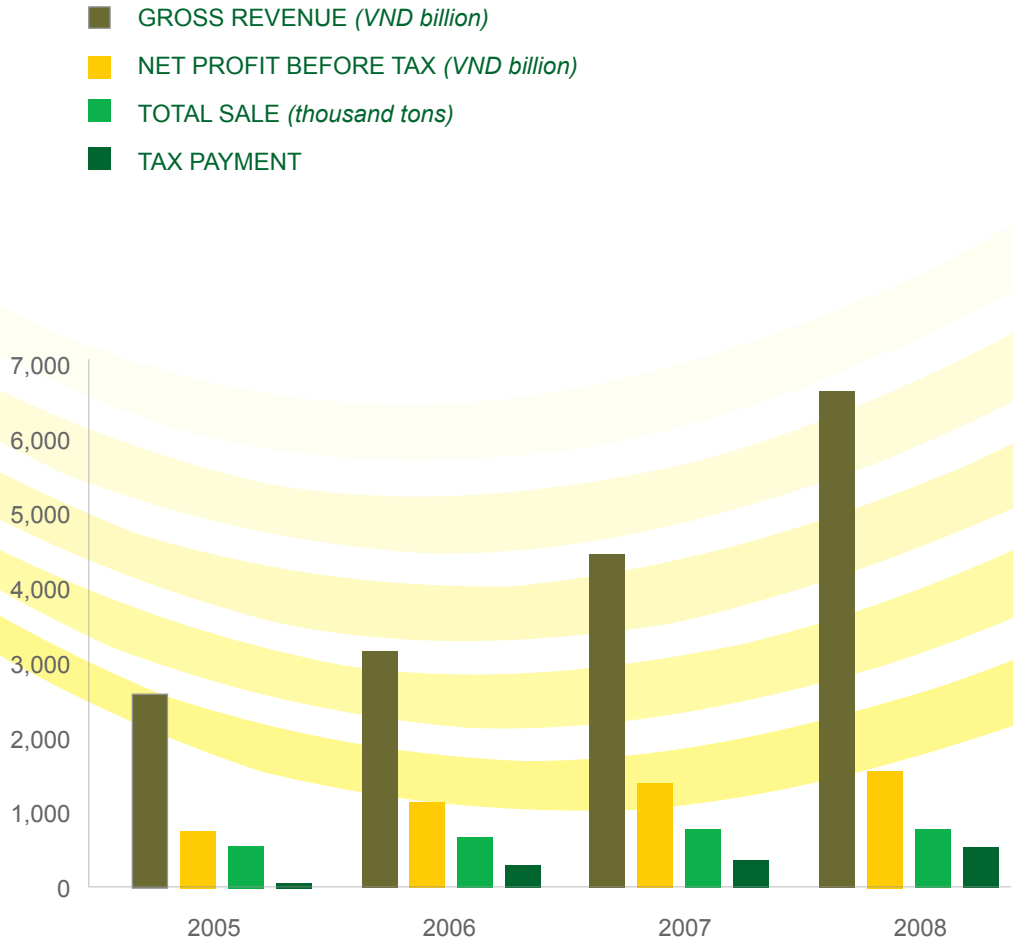
December 2007: Phu My Fertilizer Plant achieved 760,000 tons/year of products for the first time, equivalent to 103% of designed capacity.

May 2008: Transformed into a corporation under the model of "parent company and subsidiaries"

January 2009: The Corporation, for the first time, reached a production milestone of 3 million tons of urea.

KEY TARGETS FROM 2005 AND 2008

Year	Total sale	Gross Revenue (VND billion)	Net Profit before tax (VND billion)	Tax Payment (VND billion)
2005	616,021	2,615	792	85
2006	715,671	3,204	1,161	107
2007	746,814	4,454	1,330	151
2008	741,189	6,643	1,501	283
Total	2,819,695	16,916	4,784	626





DEVELOPMENT ORIENTATION

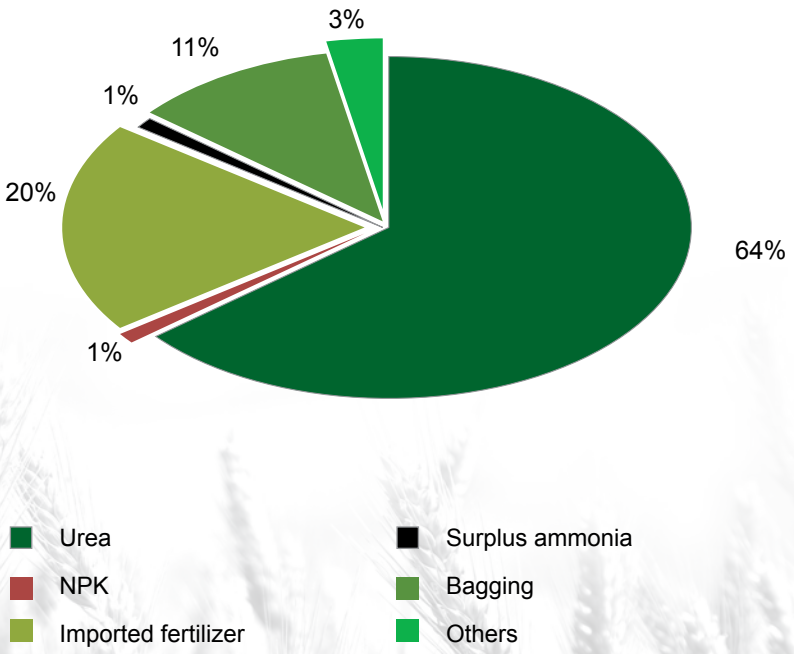
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Main targets for 2009

Gross revenue	5,815 VND billion
Profit before tax	1,084 VND billion
Tax Payment	240 VND billion

DEVELOPMENT ORIENTATION

2009 PRODUCT REVENUE CHART



Long-term development targets

To become the leading supplier of fertilizers in the domestic market with 50-60% market-share for urea demand, 30% for DAP, 20% for SA and 50% for imported fertilizers.

To become one of the five leading companies in the field of chemical production and trading.

To become the main supplier of basic chemical products providing to the domestic markets of chemical refinery industry.

Medium and long-term strategies.

Applying the criteria of business administration for a joint stock company to the Corporation which operates under the “Parent company and subsidiary” model.

Regularly upgrading and employing advanced technology of quality control system to protect the environment in accordance to ISO 9001, ISO 14001 and OHSAS 18001 standards.







MEMBER COMPANIES AND SUBSIDIARIES

PHU MY FERTILIZER PLANT



The Phu My Fertilizer Plant, the result of about 370 milion US dollar investment project, is located on an area of 63 hectare in Phu My 1 Industrial Zone, Tan Thanh District, Ba Ria – Vung Tau Province. The plant was engineered and constructed with licensed technologies from Danish Haldor Topsoe and Italian Snamproghetti to produce ammonia (1,350 MT/day capacity) and prilled urea (2,200 MT/day capacity). These are world leading technologies with the closed manufacturing process using natural gas, air as feedstock to produce ammonia and urea. By virtue of such the process and the faculty to produce electricity power and moisture by itself, the plant can keep its operation uninterrupted even in the case of disruption of the national electricity power grid.

The plant comprises three main units: Ammonia, Urea and Utility Offsite and other departments/units.



The plant always operates at full capacity, under the control of Vietnamese management, operation and maintenance staffs.

In addition to the initial configuration, in order to enhance the quality, diversify products, take full advantage of the Company's resources, serve effectively the production and trading and improve the working environment, the Company has initiated and implemented projects in upgrading and preserving the newly invested equipment and technologies as follows:

Bently Nevada Machinery Monitoring System (MMS) motive equipment management program with System I, the most advanced equipment in the GE Energy group: based on the temperature and stir level of equipment, the program allows the Plant to accurately keep control of the real situation of the equipment and predict possible problems to timely plan the maintenance and replacement;

Anti-caking agent injection system for urea product: the system makes the prilled urea polished to protect it against a called caking phenomenon – urea solid prills adhere to each other;

The vibrating screen system project that minimizes the amount of powder or small prilled urea contained in the end-product.

The system for recovery of ammonia from waste water before draining off to the environment;

Development of new/auxiliary products: Production of pure liquid CO2 from the Plant's exhaust fumes, methanol, formaldehyde and several industrial gases such as nitrogene, oxygene, argon, etc.

Installation of the air cleaning system by suction to reduce the dust of urea to maintain the healthy working environment;

Construction of bagged urea storages at the plant and distribution regions. DPM



Short name	PVFCCo TRADING CO., LTD
Head Office	29 Ton Duc Thang Street, Ben Nge Ward, District 1, HCM City.
Tel	84 - 8 - 39118126
Fax	84 - 8 - 39118127
Chartered capital	VND 500 billion

PVFCCO TRADING AND SERVICES ONE-MEMBER LIMITED LIABILITY COMPANY

Scope of Business

Wholesale and retail of industrial gas (except in the area of Ho Chi Minh City);

Wholesale and retail of fertilizers and chemicals (except poisonous chemicals).

Wholesale and retail of agriculture and forestry products.

Transportation services of roadway, railway, local and coastal waterway, airway and seaway.

Logistics services for railway, roadway, waterway and airway transportation.

Other supporting services related to transportation.

Establishment and development

PVFCCo TRADING CO., LTD was established under Decision No. 113/QĐ-HĐQT dated 7 August 2008 by the Board of Directors of PetroVietnam Fertilizer and Chemicals Corporation and Business License No. 4104005925 dated 27 August 2008 by Ho Chi Minh City's Planning & Investment Department. The Company officially came into operation on 1 September 2008.

Development direction

To build a network of fertilizer and chemical suppliers in Southeast Asia that expands to South Asia, Middle East, Russia and Ukraine, etc.

Take advantage of nation-wide distribution network of PVFCCo's member companies to acquire upper-hand advantages in trading.

To expand the business by adding agricultural-related products, such as agricultural machinery, pesticides, etc.

Develop a transportation network and logistic services for local trading activities.

Short name	Northern PVFCCo
Head Office	60 Tran Quang Dieu St., Dong Da District, Hanoi City
Tel.	84 - 4 - 35378256
Fax	84 - 4 - 35378255
Chartered Capital	VND 65 billion

NORTHERN PVFFCCO TRADING ONE-MEMBER LIMITED LIABILITY COMPANY

Scope of Business:

Trading of fertilizers and chemical products (except items prohibited by laws)

Trading of agriculture and forestry products (except items prohibited by laws)

Technical services for trading of fertilizers and related chemicals (except forbidden chemicals)

Transport services of roadway and local waterway.

Warehouse services.

Establishment and development

Northern PVFCCo was established on 27 December 2007 to serve for the development strategies of PVFCCo:

Reaching and expanding to Northern market (from Quang Binh Province to northwards)

Making contribution to stabilization of fertilizer market, especially in the Northern area.

Proposing solutions for business development to expand the business sectors of the mother company in line with PVFCCo development stratergy.

Northern PVFCCo was officially transformed into Northern PetroVietnam Fertilizer & Chemicals One-member Limited Liability Company on 19 August 2008. By the end of 2008, the Company achieved:

Installation of a distribution network throughout the assigned areas.

106% revenue of 2008 planned target.

VND3.2 billion profit before tax as compared with VND2.4 billion projected.

Building a workforce of professional and knowledgeable employees.

Development directions

Build a workforce of highly qualified staff to fit the job requirements.

Ensure safe and effective business activities.

Expand and manage effectively the distribution network to control the assigned markets. Confirm the role of representative for the Corporation and to promote the Corporation brand-name in the Northern Vietnam.

Short name	CENTRAL PVFCCO
Head Office	3 Nguyen Huu Tho St., Thi Nai Ward, Quy Nho City, Binh Dinh
Tel	84 - 56 - 3822733
Fax	84 - 56 - 3826969
Chartered Capital	VND 80 billion

CENTRAL PVFCCO TRADING ONE-MEMBER LIMITED LIABILITY COMPANY

Scope of Business

Trading of agriculture and forestry products, fertilizers, and chemical products (except prohibited chemicals).

Providing technical services and materials for production of fertilizers and related chemicals.

Providing transport services of roadway, local waterway.

Providing warehouse services.

Establishment and development

Central PVFCCo was established under Decision No. 116/QĐ-HĐQT dated 7 August 2008 by the BOD of PVFCCo and Business License No. 3504000294 dated 15 August 2008 by Binh Dinh Province's Planning and Investment Department.

Central PVFCCo officially commenced operations on 1 September 2008.

Development direction

Build a highly qualified workforce to fit the job requirements.

Ensure safe and effective business activities

Make contribution to develop a reputable brand-name for the PVFCCo by providing high quality fertilizers and chemical products to the Central market.

Develop a distribution network of fertilizers and chemicals in Central and the Highland.

Strengthen the role of representative for PVFCCo to promote its name in Central Vietnam.

Short name	SOUTHEAST PVFCCo
Head Office	Fl. 3, WASECO Tower, No. 10 Pho Quang St., Ward 2, Tan Binh District, HCM City.
Tel	84 - 8 - 39974748
Fax	84 - 8 - 39974757
Chartered Capital	VND85 billion

SOUTHEAST PVFCCO TRADING ONE-MEMBER LIMITED LIABILITY COMPANY

Scope of Business

Trading of fertilizers and chemical products for industry and agriculture (except poisonous chemicals and pesticides).

Trading of agricultural and forestry products and materials (except prohibited items)

Providing transport services of roadway and local waterway.

Giving consultancy on usage of fertilizers and chemicals.

Providing logistic services.

Providing other lawful businesses.

Establishment and development

Southeast PVFCCo was established under Decision No. 115/QĐ-HĐQT dated 7 August 2008 by the Board of Directors of PVFCCo and Business License No. 4104005809 dated 18 August 2008 by Ho Chi Minh City's Planning and Investment Department.

Southeast PVFCCo officially commenced operations on 1 September 2008.

Development direction

To become a reputable supplier of high quality fertilizers and chemical products to southeast Vietnam.

To expand business of providing warehouse services and transportation services on roadway and local waterway.

To build a workforce of high qualification fitting the job requirements.

To expand distribution network in Southeast of Vietnam.

To strengthen the role of representative for PVFCCo and promote DPM brand name in the southeast of Vietnam.

Short name	SOUTHWEST PVFCCO
Head Office	13A Phan Dinh Phung St., Tan An Ward, Ninh Kieu District, Can Tho City.
Tel	84 - 71 - 3765079
Fax	84 - 71 - 3765078
Chartered Capital	VND 100 billion

SOUTHWEST PVFCCO TRADING ONE-MEMBER LIMITED LIABILITY COMPANY

Scope of Business

Trading of fertilizers and chemical products for industry and agriculture (except poisonous chemicals and pesticides).

Trading of agricultural and forestry products and materials (except prohibited items).

Providing transport services of roadway and local waterway.

Giving consultancy on usage of fertilizers and chemicals.

Providing logistic services.

Providing other lawful businesses.

Establishment and development

Southwest PVFCCo, formerly Can Tho Liaison Office, was established under Decision No. 288/QĐ-TCHC dated 8 July 2004 by the Deputy Director of PVFCCo.

Upon the equitization of PVFCCo to become a joint stock company, the Liaison Office became PVFCCo's Can Tho Branch under Decision No. 077/QĐ-HĐQT dated 14 January 2005 by the Deputy Director of PetroVietnam.

On 27 December 2007, the Branch became Southwest PVFCCo under Decision No. 80/QĐ-HĐQT.

On 27 August 2008, Southwest PVFCCo One-member Limited Liability Company was established under Decision No. 114/QĐ-HĐQT by the Board of Directors of PVFCCo and Business License dated 1 September 2008 by Can Tho City's Planning and Investment Department.

Development orientation

Southwest PVFCCo operates in the largest area of rice and various crops in Vietnam. The Company always strives to become the leading supplier of urea brand-name Dam Phu My and variable products of PVFCCo.

As a representative of PVFCCo in the area, Southwest PVFCCo commits to provide the market with high quality products at reasonable prices. Within a short period of time, the Company has successfully installed a distribution network throughout Mekong Delta and gradually expanded to the Cambodian market.

Trading of various fertilizer products. DPM

	DPM BAGGING
Head Office	Street 1B, Phu My Industrial Zone I, Thanh Tan District, Ba Ria – Vung Tau Province
Tel	84 - 64 - 3921999 | 84 - 64 - 3922333
Fax	84 - 64 - 3921966
Chartered Capital	VND42 billion

DAM PHU MY BAGGING JOINT STOCK COMPANY

Scope of Business

Producing PP, PK and PE packaging products;

Trading of PP, PK and PE packaging products

Trading of construction materials, electronic equipment, engine fuel and fertilizers;

Providing transport services of roadway and warehouse service.

Trading of materials and equipment for oil and gas industry;

Trading of PP and PE packaging materials;

Trading of all kinds of papers and stationeries.

The Company's current business is to produce and trade packaging products made of PP, PE plastic and Kraft paper. The factory has a designed capacity of 30 million of plastic packages per year, among which 20 million items are bagged for agricultural products and 10 million for cement.

Establishment and development

PVFCCo Packaging Company was founded on 19 May 2008 from Huong Phong Packaging Factory located in Ba Ria – Vung Tau province.

The founding members are PetroVietnam Fertilizer and Chemicals Corporation which owns 50.98% stake and Huong Phong, Ltd. with 49% stake, while the remaining 0.02% belongs to other shareholders.

Development direction

Continuing to strengthen the main business scope of providing bags for the Dam Phu My Plant and also maximizing business capacity and diversification by providing new products and expanding business to other fields.

Leveraging on all advantages and opportunities from PVFCCo as well as in the oil and gas industry; and cooperating with local and foreign packaging producers to have new products to meet the demands of the market.

JOINT VENTURE AND PARTNERSHIP

DRILLING MUD CORPORATION (DMC)

Chartered capital	VND145,199,980,000
PVFCCo's stake	8.25% or VND11,978,630,000

PVTEX DINH VU JOINT STOCK COMPANY

Chartered capital	VND1,700,000,000,000
PVFCCo's stake	15% or VND255,000,000,000

PETROVIETNAM INFORMATION TECHNOLOGY, TELECOMMUNICATION AND AUTOMATION JOINT STOCK COMPANY

Chartered capital	VND36,000,000,000
PVFCCo's stake	10% or VND3,600,000,000

PETROLEUM SPORT AND CULTURE CORPORATION

Chartered capital	VND 10,000,000,000
PVFCCo's stake	10% or VND1,000,000,000





TOP-TEN EVENTS AND ACTIVITIES OF THE YEAR 2008

Annual Report 2008

TOP-TEN EVENTS AND ACTIVITIES OF THE YEAR 2008

On 15 May 2008, PVFCCo transformed into a corporation operating under the mechanism of a parent company and subsidiary by the establishment of four fertilizer trading companies in the North, the Central, the Southeast, Southwest and the PVFCCo Trading company.

The Corporation has successfully installed a distribution network of more than 2,100 retailing outlets.

Phu My Fertilizer Plant accomplished a big periodical maintenance five days earlier than projected. Moreover, the plant reached the production of 740,000 tons of urea seven days earlier than planned in 2008.

Launching a campaign of selling Phu My urea at one-fixed price in the whole network nationwide, making significant contribution to the effort of the Government to harness the inflation of the economy.

The Corporation's brand name and position is strengthened in the international market by the establishment of trade relation with big local and foreign fertilizer producers and trading companies, among which are the project of building a DAP Plant in Morocco and Urea Plant in Russia.

Introducing on 4 September 2008 the PVFCCo Corporate Identity Profile (CIP) with brand name of PVFCCo which associates with the core values of "development", "sustainability", "timely" and "reliability". The CIP is considered a foundation for marketing management and promotion of the PVFCCo brand name to the public, shareholders and consumers.

Ground breaking of Cuu Long Commercial Center in Ca Mau Province, which will provide commercial services when Ca Mau commercial complex of gas - power - fertilizer goes into business.

Strengthening social investment to confirm PVFCCo mission of accompanying farmers for the development of the country's agriculture. In 2008, the Corporation granted VND25 billion to build 2,500 houses for the poor in 25 provinces throughout the country.

Continuing to be the main sponsor for the prestigious Luong Dinh Cua Award, which honored 100 excellent young people who have excellent performance in agricultural business production, and economic and technical development.

Launching the PVFCCo Scholarship Fund that sponsors best students who achieved excellent performance in the university enrollment 2008-2009. DPM





REPORT FROM THE BOARD OF DIRECTORS



Overview of 2008

2008 was an outstanding year for Petrovietnam Fertilizer and Chemicals Corporation (PVFCCo). 2007 witnessed the transformation of PVFCCo in term of the ownership model and business management mechanism, and in 2008 is the first year of implementation of the PVFCCo's development strategy in context of the uncertainties experienced by the domestic and world economy.

The main business of PVFCCo, the production and trading of fertilizers and chemicals, has been strongly affected by both the fevers and the economic recession. Phu My urea, the core product of PVFCCo, and other fertilizers imported by PVFCCo are consumed locally are both vulnerable to external factors such as the volatile prices of fertilizers and oil in the global market, the change of local demand and Government's macro policies.

During the first eight months of the year, there was a sharp increase in the global nitrogenous fertilizer market. This uptrend was a favorable condition to the PVFCCo business. However, as fertilizers are essential for agricultural production and food security, the Government was concerned with price stabilization. As a

big corporation, with Government's dominant stake, PVFCCo owns a dominant stake, PVFCCo and its parent company, Vietnam National Oil and Gas Group, had undertaken the responsibility to support the Government's effort to stabilize the fertilizer market with concrete solutions, among which are: to operate the Phu My Fertilizer Plant at full capacity and to import fertilizers from overseas to meet domestic demands and provide the market fertilizer products at lower than market price. The Company also launched new policies to meet the market situation and implemented strong solutions to push up the installation of an effective distribution network to facilitate delivery of fertilizers to consumers.

However, the market reversed severely in the later part of the year when the global market of crude oil and fertilizer plunged deeply. In addition, domestic demands were heavily affected by natural disasters. All these factors attributed to the dramatic drop in fertilizer price, which in turn severely affected the results of PVFCCo business.

Highlights from the year's operating results

As mentioned above, with strong effort to overcome difficulties, PVFCCo ended the year 2008 with results as follows:

- 750,000 tons of Phu My urea produced.
- 741,000 tons of Phu My urea sold.
- 268,000 tons of urea imported, in which 198,000 tons was sold out
- Total revenue reached a record high of VND 6,625 billion, equivalent to 150% of planned target and 49% up compared with previous year.
- Net profit before tax hit VND 1,501 billion, reached 126% of planned target and 12.86% up from previous year.
- Redemption of Phu My Fertilizer Plant investment loans.

Principal changes in the year

The principal change of PVFCCo in the year 2008 was the transformation of the Corporation from a joint stock company to a corporation, operating as a parent company with its subsidiaries as member companies.

The Board of Directors discussed with and directed the Executive Board to implement the business plan focusing on the setting up of a distribution network via the subsidiaries. The corporation also entered the import - export fertilizer market to ensure a steady supply of fertilizers, making significant contribution to the market stabilization.

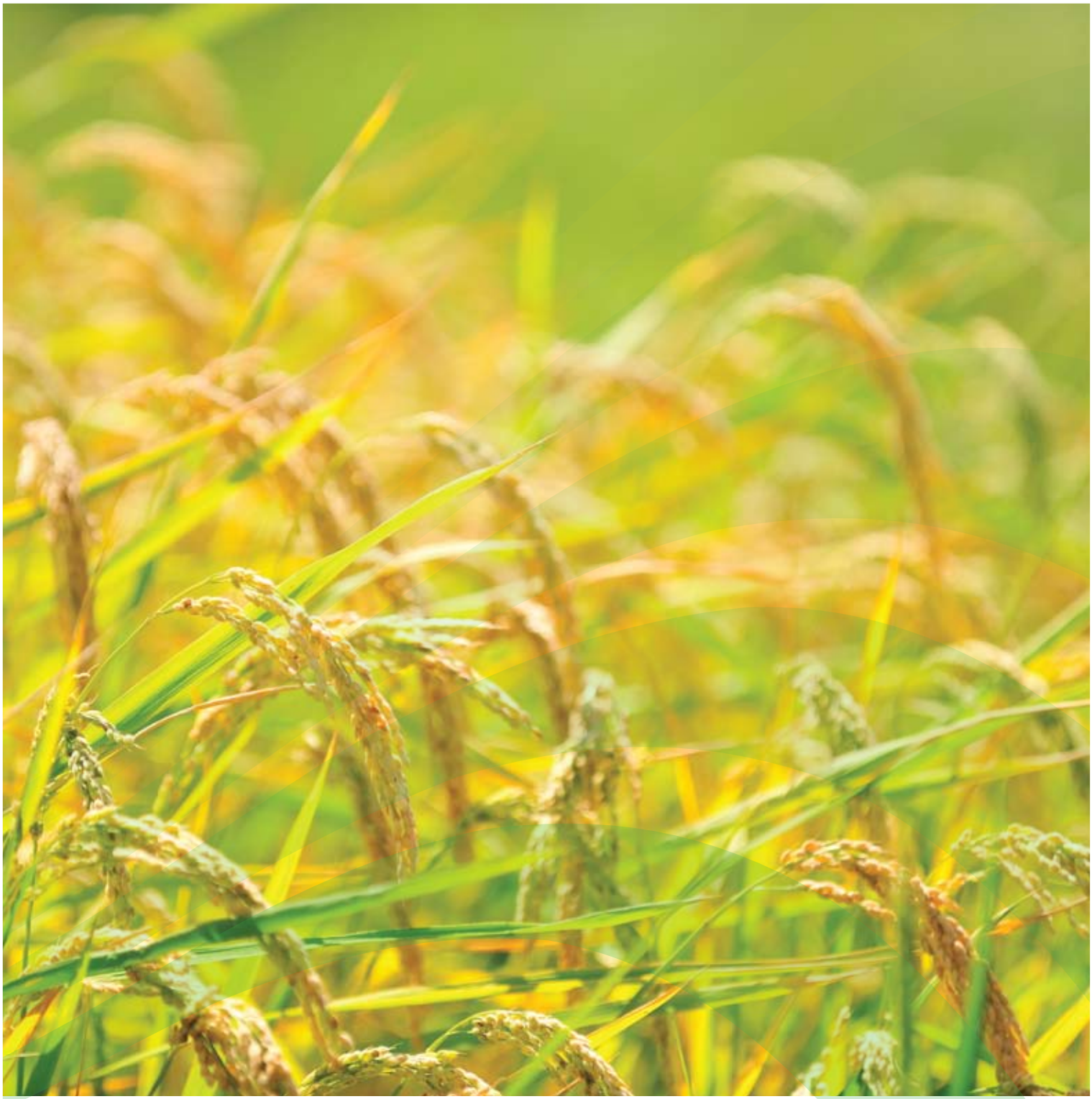
Future Perspectives and Plans

PVFCCo aims to achieve the strategic targets set. The strategic plan 2015 was approved during the Annual Shareholder Meeting 2008.

PVFCCo currently holds a strong position in the domestic urea market of fertilizer production and trading. Moving forward, the domestic fertilizer demands will stabilize. There will be a robust increase in domestic urea supply after 2010 as Ca Mau Fertilizer Plant and other projects designed to increase capacity start operations. As such, the domestic fertilizer market is poised to face a difficult outlook from 2010 due to oversupply. PVFCCo with its stable market share, reputable brand name and competitive production cost is expected to maintain its sales volume. Meanwhile, PVFCCo plans to export urea in 2009 to promote its brand in the international markets to ensure future consumption. The domestic demands of other fertilizer products such as NPK, DAP is predicted to increase in the upcoming years. Though the designed capacity of existing and under-construction local factories is sufficient, most of them are small-sized with outdated technology. As a result, it may be difficult to meet the demands. PVFCCo, therefore, aims to diversify the fertilizer products by producing and trading NPK, DAP, SA through the local projects of NPK and SA. Meanwhile, DAP is planned to be produced overseas.

The potential production and trading of chemicals is high due to the demands from industrial production as the local supply is limited and most are imported from overseas. PVFCCo's direction is to diversify its business with import-export plans from 2009, and to review the feasibility of chemicals warehouse and production projects.

PVFCCo also plans to strengthen its market position by expanding into other business sectors related to its key activities such as Cuu Long Plaza in Ca Mau City, port and warehouse between regions, joining the projects of textile and oil chemicals in Hai Phong and Long Son Oil Chemicals Refining Complex.



REPORT OF THE EXECUTIVE BOARD



PERFORMANCE OVERVIEW OF THE CORPORATION

2008 marked an important milestone for PVFCCo, as the Corporation successfully transformed its business model from a joint stock company into a parent corporation with its subsidiaries, which includes the Phu My Fertilizer Plant, the Construction Management Board of Phu My Industrial Zone, six member trading companies and two representative offices in Morocco and Russia. The Corporation also performed excellently as Phu My Fertilizer Plant rolled out an output far exceeding the designed capacity, and the gross revenue hit a record-high of more than 6,500 billion VND achieving 170% of target result. In 2008, PVFCCo faced many difficulties as unpredicted fluctuation of the domestic and international fertilizer market severely affected the market forecast and implementation of business plan. However, the business results remains satisfactory and even exceeded its target.

REPORT ON FINANCIAL SITUATION

The dramatic change of fertilizer prices in 2008 and the implementation of import and trade activities contributed to an increase of 49% in revenue (6,493.48/3,803.91 billion VND) compared to 2007

The financial situation of DPM in 2008 is reflected in the January to December 2008 financial report which has been appraised by the Supervisory Board and audited by Deloitte Vietnam Ltd.

Key financial indicators

Profitability

$$\text{Profitability ratio} = \frac{\text{Profit before tax and interest}}{\text{Investment}} = 28.30\%$$

$$\text{Profitability} = \frac{\text{Profit after tax}}{\text{Equity}} = 29.35\%$$

Liquidity

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liability}} = 6.17$$

$$\text{Quick ratio} = \frac{\text{Current assets - inventories}}{\text{Current liability}} = 3.61$$

Compared to the same business in the Asia region (Middle East, Inida, Pakistan)

Profitability ratio	11.95%
Profitability	20.76%
Current ratio	1.99
Quick ratio	1.64

Analysis of changes and their causes

The dramatic change of fertilizer prices in 2008 and the implementation of import and trade activities contributed to an increase of 49% in revenue (6,493.48/3,803.91 billion VND) compared to 2007. However, the implementation of import and trade activities did not create adequate profits. The profit did not rise in tandem with the turnover gain due to:

Profits gained from trading activities were less than that from production as PVFCCo is subjected to the market forces which affects the costs and selling prices of the goods.

Losses caused by sudden decline of domestic fertilizer price. In the first eight months of 2008, fertilizers and chemicals prices hit a record-high, but spiraled down rapidly in the fourth quarter. The downtrend led to a dramatic decline in prices and demands of fertilizer in domestic market (urea price in the fourth quarter went 60% down from August, DAP down over 70%, POTASSIUM down 25%, NPK down 60%, AMONNIA got 70% lower). This weakened situation resulted in huge losses for all fertilizer producers and traders, in which PVFCCo is not spared.

The setting up of a reserve fund to reduce cost of inventories for imported fertilizers in the fourth quarter of 2008 and to ensure strong financial position for 2009. The reserve fund values at 186 VND billion.

The current ratio is and quick ratio, which are 6.17 and 3.61, respectively, are both much higher than that of 2007. These ratios prove the high liquidity of DPM stock.

Changes in share capital

There was no change in share capital in 2008. PVFCCo has a chartered capital of VND3,800 billion divided into 380,000,000 common shares, of which the Government shares account for 61.37%.

PVFCCo bought 721,820 shares of its fund. As such, at December 31, 2008, the number of shares in circulation is 379,278,180.

Dividend

PVFCCo had twice advanced dividends to shareholders. The first time was 10% or VND1,000/share, and the second was 5% or VND500/share.

The total dividends to be received by shareholders for fiscal year 2008 will be allocated based on the profit plan approved during the Annual Shareholder Meeting in 2009.

Book value at December 31, 2008 (According to 2008 audited financial report)

Changes in DPM share price and VN Index in 2008

Item	2 Jan. 2008	31 Dec. 2008	Up/down (%)
VN Index	925.66	315.62	↓ 65.90%
Share price of DPM	74,000	34,500	↓ 53.37%

PVFCCo successfully installed a distribution network for Phu My urea products by setting up five one-member limited liability companies in the country's four key regions

ACCOMPLISHMENTS

IN PRODUCTION

PVFCCo performed a major maintenance and repair to Phu My Fetilizer Plant in April 2008, which was completed five days ahead of schedule. This reduced operation downtime for the Plant thereby enabling it to exceed its 2008 production capacity with 750,000 tons of urea. In addition, PVFCCo established an economic-technical system to effectively control production costs of the Plant.

IN TRADING OPERATION

PVFCCo successfully installed a distribution network for Phu My urea products by setting up five one-member limited liability companies in the country's four key regions. Through these regional trading companies, long-term contracts were signed with 74 distributor agencies and nine outlets, from which PVFCCo's products will be distributed to consumers through these 2.115 retail points. In 2008, PVFCCo also imported all kinds of fertilizers to increase the market share and to help stabilize the market.

IN FINANCIAL MANAGEMENT

PVFCCo implement effective financial management to ensure a stable cash flow for business operation and reserve of foreign currency for import activities. Loans for the construction of Phu My Fertilizer Plant were paid off in December 2008.

The accounting activities were implemented in accordance with the priciples and laws required for business management of PVFCCo: issuance of guidance document for inventory process, circulation process of accouting documents using for sales activities nationwide (August 2008); issuance of financial management regulations for the Corporation and subsidiaries in October 2008.

IN ORGANIZATION MANAGEMENT

PVFCCo completed the transformation into a “parent company and subsidiary” model and set up five one-member limited liability companies, acquired the majority stake of Dam Phu My Bagging Joint Stock Company and rearranged the management structure at the head office.

The Corporation also set up a decentralization management mechanism, and improved the regulations and guidance documents in accordance with the model of a corporation.

RESEARCH AND DEVELOPMENT

The preparation and implemantation of investment projects are driven to meet the progress requirments and planned schedule. In 2008, PVFCCo carried out research to explore opportunities of oversea investment, such as the project of building a DAP Plant in Moroco.

DPM BRAND-NAME PROMOTION

The Corporation has issued the DPM brand-name Corporate Identification Profile (CIP) to promote its DPM brand-name as a popular, recognizable, and a reliable name to public, consumers (mainly farmers) and shareholders.

The customer-care policies, distribution and promotion policies have been issued and implemented consistently. Also, regular meetings with customers are held to gather feedbacks.

The Great Solidarity Program, DPM Scholarship, Luong Dinh Cua Award, and Dam Phu My Table Tennis Cup initially drew public attention, confirming commitments of PVFCCo about its corporate social responsibilities.



2009 PRODUCTION AND TRADING PLAN

TARGETS

Production

Urea	750,000 tons
Surplus Ammonia	32,000 tons
NPK	50,000 tons
Bagging	25,900,000 units

Trading

Urea	780,000 tons
Surplus Ammonia	32,000 tons
NPK	50,000 tons
Bagging	25,900 thousand bags
Import of Fertilizers and Chemicals	250,000 tons

Financials

Chartered capital	VND3,800 billion
State-owned stake	51%
Gross revenue	VND5,815 billion
Tax payment	VND240 billion
Profit before tax	VND1,084 billion
Net profit after tax	VND990 billion
Ratio of PAT/Chartered capital	26%
Dividend	13%
Total investment	VND768,27 billion,

WAYS AND MEANS FOR IMPLEMENTATION OF BUSINESS PLAN IN 2009

Reduce the maintenance time of Phu My Fertilizer Plant, while improving the quality of maintenance and operation of the DPM Plant to ensure safety production, minimizing the number of stoppage due to technical problems, shortening the starting time of the Plant after a stoppage.

Complete and issue the norm of accessories and spare parts to use for replacement to reduce the production costs.

Promote activities such as forecast, research, and analysis of domestic and world fertilizer and chemical markets to implement reasonable business policies, and continue to strengthen cooperation with international fertilizer producers and traders.

Direct and monitor closely the the implementation of business plan of subsidiaries. Implement policies of commercial promotions to encourage member companies to build up and strengthen the distribution network. Direct and monitor member companies in carrying out business activities, implementing regulations and business procedures in compliance with the laws.

Transport products and commodities to transit points to prepare for consumption, and reduce overload at the Plant during peak seasons.

Invest in effective human resources, develop internal training modules to improve workers' skills and build a professional workforce with management ability and creativity in accordance with the Corporation's business activities.

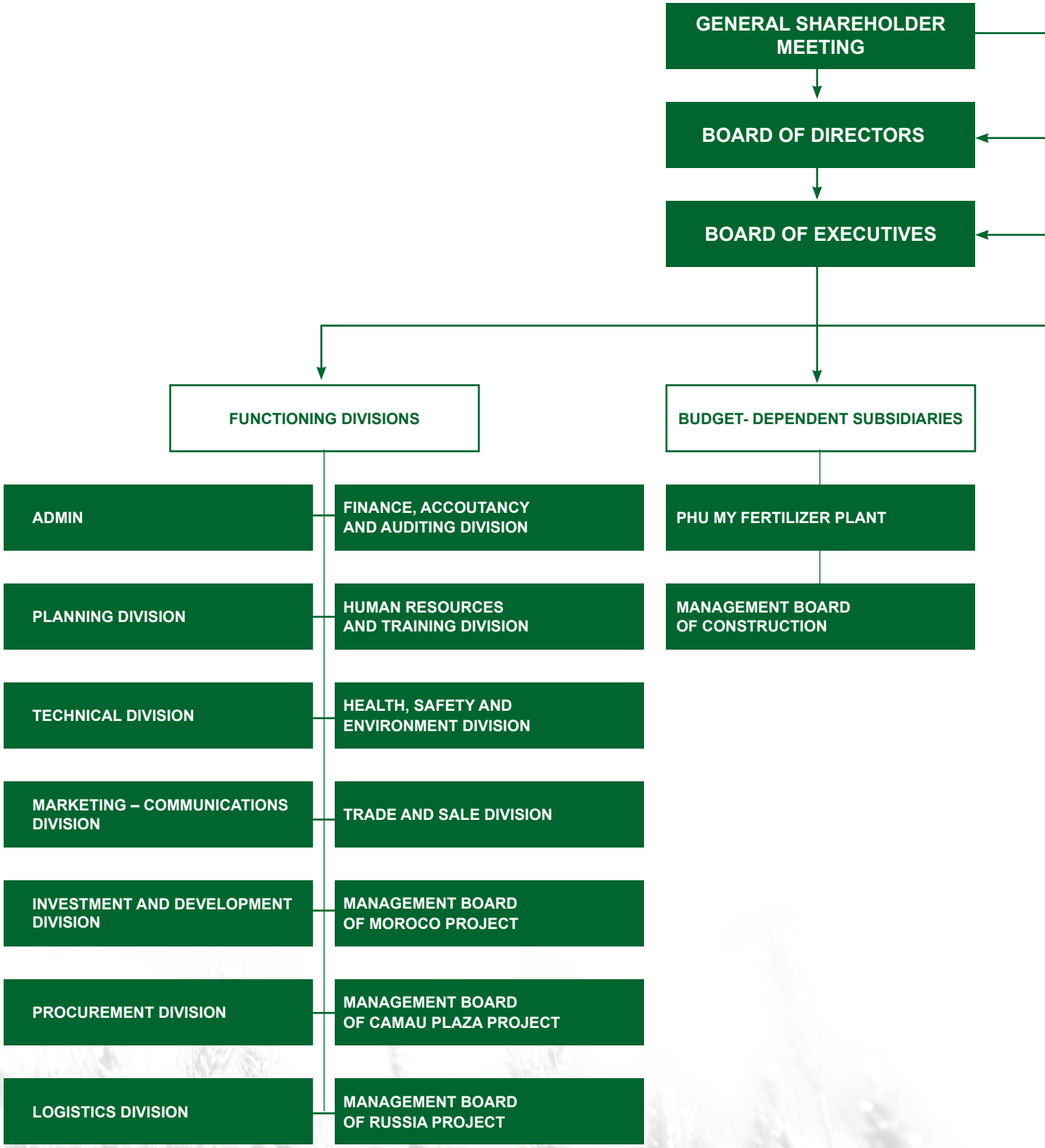
Focus on implementation of approved projects. Map out the schedule and monitor the progress of each project. Strengthen internal training to equip the management teams with adequate skills.

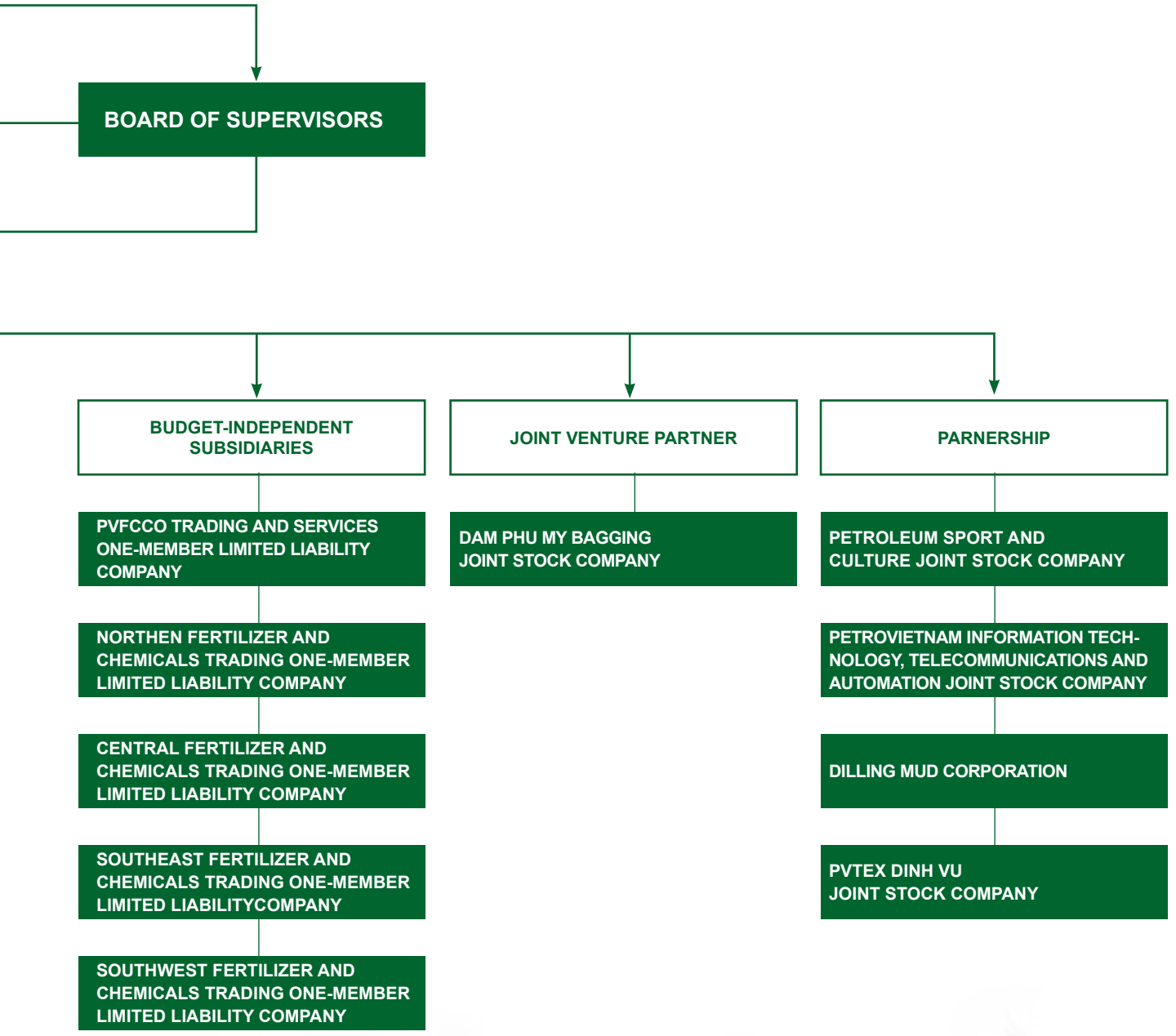




ORGANIZATION AND HUMAN RESOURCES

ORGANIZATION STRUCTURE OF PVFCCo




BOARD OF SUPERVISORS
BUDGET-INDEPENDENT SUBSIDIARIES
JOINT VENTURE PARTNER
PARNERSHIP
PVFCCO TRADING AND SERVICES ONE-MEMBER LIMITED LIABILITY COMPANY
NORTHEN FERTILIZER AND CHEMICALS TRADING ONE-MEMBER LIMITED LIABILITY COMPANY
CENTRAL FERTILIZER AND CHEMICALS TRADING ONE-MEMBER LIMITED LIABILITY COMPANY
SOUTHEAST FERTILIZER AND CHEMICALS TRADING ONE-MEMBER LIMITED LIABILITYCOMPANY
SOUTHWEST FERTILIZER AND CHEMICALS TRADING ONE-MEMBER LIMITED LIABILITY COMPANY
DAM PHU MY BAGGING JOINT STOCK COMPANY
PETROLEUM SPORT AND CULTURE JOINT STOCK COMPANY
PETROVIETNAM INFORMATION TECH-NOLOGY, TELECOMMUNICATIONS AND AUTOMATION JOINT STOCK COMPANY
DILLING MUD CORPORATION
PVTEX DINH VU JOINT STOCK COMPANY

BOARD OF DIRECTORS



1





2 3





4 5

1 Mr. Nguyen Xuan Thang - Chairman of Board of Directors

Date of birth	1955
High school	10/10
Professional degree	Doctor of Petroleum Economics

2 Mr. Cao Tung Son - Member of Board of Directors

Date of birth	1961
High school	10/10
Professional degree	Bachelor of Petroleum Engineering

3 Mr. Pham Thanh Vinh - Member of Board of Directors

Date of birth	1959
High school	10/10
Professional degree	Bachelor of Accounting and Finance

4 Mr. Tu Cuong - Member of Board of Directors

Date of birth	1960
High school	10/10
Professional degree	Engineer of Chemistry

5 Mr. Doan Minh Man - Member of Board of Directors

Date of birth	1958
High school	12/12
Professional degree	Bachelor of Accounting and Finance



Ms. Nguyen Thi Hien - Head of Board of Supervisors

Date of birth	1974
High school	12/12
Professional degree	Bachelor of Business Administration for Foreign Trade

BOARD OF EXECUTIVES



1



2 3







4 5



6

1 Mr. Phan Dinh Duc - General Director

Date of birth	1961
High school	10/10
Professional degree	Bachelor of Economics

2 Mr. Ngo Hong Minh - Vice General Director of Commerce

Date of birth	1960
High school	12/12
Professional degree	Geological Engineering & Exploration

3 Mr. Cao Tung Son - Vice General Director of Technology

Date of birth	1961
High school	10/10
Professional degree	Bachelor of Petroleum Engineering

4 Mr. Tu Cuong - Vice General Director of Production

Date of birth	1960
High school	10/10
Professional degree	Engineer of Chemistry

5 Mr. Nguyen Duc Hoa - Vice General Director of Investment and Construction

Date of birth	1956
High school	10/10
Professional degree	Engineer in Construction

6 Mr. Pham Thanh Vinh - Vice General Director of Finance

Date of birth	1959
High school	10/10
Professional degree	Bachelor of Accounting and Finance



Mr. Huynh Kim Nhan - Chief Accountant

Date of birth	1976
High school	12/12
Professional degree	Bachelor of Accounting and Finance



NUMBER OF EMPLOYEES AND PERSONNEL STRUCTURE

The total number of employees as at 31 December 2008 (including parent company and subsidiaries): 1,457 persons

Categorized by education	Quantity (person)	Ratio %
3-year college, university degree or higher	620	42.6%
Vocational school	99	6.8%
Technicians and others	738	50.7%

Categorized by rank		
Leaders, managers	129	8.9%
Specialists	402	27.6%
Staff	118	8.1%
Manual workers	808	55.5%

CHANGE IN THE POSITION OF CHIEF EXECUTIVE IN THE YEAR

There is no change in the position of CEO in 2008.

BENEFITS FOR THE EXECUTIVE BOARD: SALARY, BONUS AND OTHER

Benefits

PVFCCo pays salaries to the Executive Board in accordance with the law and PVFCCo's policy of salary payment, corresponding to individual's role. Bonuses for the Executive Board are allocated from after tax profit as per the Decision of the Annual Shareholder Meeting.

Labor policy

In 2008, PVFCCo built and applied the new payroll according to Decree of the Labor – Disable and Society Ministry and Decree No. 141/2007/ND-CP dated 10 September by the Government on salary for parent companies owned by the State and subsidiaries of State economic groups, allowing the payment of market rate salary to keep and attract talents. PVFCCo offers high social and medical insurance, as well as accident insurance for its workers.

PVFCCo completed the personnel policy and started implementation on 1 January 2009. This include special welfare policy such as salaries, bonuses, training, vacation, accommodation and other benefits for good workers with high professional knowledge.

Average salary

2007: 8,200,000 VND/person/month

2008: 9,030,000 VND/person/month



CHANGES IN MEMBERS OF THE BOARD OF DITECTORS, THE BOARD OF EXECUTIVE, THE BOARD OF SUPERVISORS, AND CHIEF ACCOUNTANT

Change of Board of Director Members

On June 10, 2008, the Board of Directors voted to replace members and the General Shareholder Meeting approved the Resolution dated September 10, 2008:

- Mr. Nguyen Xuan Thang, member of the BOD, replaced Mr. Dinh Huu Loc as the Chairman.
- Mr. Pham Thanh Vinh replaced Mr. Hoang Xuan Hung as a member.
- Mr. Tu Cuong replaced Ms. Vu Thi Chon as a member.
- Mr. Doan Minh Man replaced Mr. Luu Quang Lam as a member.

Appointment of Deputy General Director

The BOD appointed Mr. Tu Cuong, Director of Phu My Fertilizer Plant as Deputy General Director of PVFCCo on June 18, 2008.

Change of Board of Supervisor Members

In October 2008, Mr. Ta Anh Nghia, a member of the Supervisory Board, resigned for personal reason. The Board of Supervisors and the BOD appointed Mr. Le Vinh Van as a member of the Supervisory Board starting 1 November 2008, and nominated him during the General Shareholder Meeting at the Annual Meeting 2009.



BOARD OF DIRECTORS' ACTIVITIES

Annual Report 2008



BOARD OF DIRECTORS' ACTIVITIES

In 2008, the Board of Directors decided the following issues during its regular and extraordinary meetings:

- Issued of economic series – technical system of production and trade activities for PVFCCo including labor, material diminution, fuel consumption and drafting the norm for material and spare… in usage and maintenance.
- Approved the payroll and salary policy, as well as important regulations for PVFCCo including Finance Management, PVFCCo's Representative at Enterprises, Employment Policy, and Recruiting and Training.
- Decided to invest and approve the bidding plan and result of the Project of CO_2 Recovery from the primary reformer at Phu My Fertilizer Plant to increase annual production of urea by 60.000 tons/year.
- Changed members of the BOD, and submitted to the Great Shareholder Meeting for approval. Transformed PVFCCo into a corporation and set up subsidiaries.
- Decided advanced dividends payments for the first and the second time (15% in total).

» The members of BOD including the Chairman and three other members from the Board of Executives lead and supervised the Board of Executives' activities by regulations, report systems, and meetings with attendance of the BOD.

» Other members of the BOD monitored and supervised the reports, meetings and discussed with the Board of Executives at the BOD's meetings.

» Regarding the supervision and direction activities, the BOD had abided by the regulations of a joint stock company during the year. In conclusion, it was effective and met requirements according to the regulations of PVFCCo, the BOD's principal guidances and the law. This helped the Board of Executives to implement the BOD's resolutions and decisions quickly and facilitated PVFCCo's production and trade activities effectively and stabilized the market.

WAYS AND MEANS TO INCREASE MANAGEMENT RESULTS

» Issued and applied the internal management and financial regulations as well as other regulations. Applying modern standards of business management, norms, supervision regulations, quality and safety control systems to ensure benefits for shareholders and investors.



ACTIVITES OF BOARD OF SUPERVISORS

ACTIVITES OF 2008

The Board of Supervisors performed the duties to monitor and supervise the management activities to ensure that all business transactions are in compliance with the corporation management regulations, financial management regulations, shareholder meeting's regulations, the resolutions of the BOD, and in line with the law to bring about benefits for PVFCCo and shareholders.

Regular attendance of PVFCCo's hand-over meetings and other meetings of the BOD; joined to draft and issue key regulations and processes of PVFCCo.

Reviewed quarter, half-year, and annual financial reports, to evaluate the financial situation of PVFCCo; checked the transparency of the information announcement to ensure investors' rights; supervised the Board of Executives to implement Auditors' proposals.

PVFCCo hired Deloitte Vietnam Auditing Company to check the internal auditing system and to audit the PVFCCo financial report in 2008 with the cost approved by the Great Shareholder Meeting amounting to USD 40,780.

RESULTS OF THE SUPERVISION

The implementation of BOD's regulations

PVFCCo become a corporation operating under the model of "parent company and subsidiaries".

PVFCCo implemented development strategies for the year 2015 and 2025.

PVFCCo completed the amendments to the Charter of PVFCCo in accordance with the sample charter of a listed company by Decision No, 15/2007/QĐ-BTC dated 19 March 2007 of the Ministry of Finance.

Based on the results business practice in 2008, PVFCCo has temporarily paid advanced dividends during stage 1 and stage 2 in 2008, Based on the 2008 business results, PVFCCo has paid 2 batches of dividends for 2008.

PVFCCo has changed its head office, replaced BOD members according to BOD resolution.

Business situation of 2008

• Production output

Urea - Dam Phu My : 749,460 tons, gaining 101% of the plan,

Surplus of ammonia : 26,687 tons, gaining 76% of the plan,

Surplus power : 4,716 Mwh, gaining 30% of the plan,

* Consumption

Urea - Dam Phu My : 741,189 tons, gaining 100,2% of the plan,

Surplus of ammonia : 24,555 tons, gaining 70% of the plan,

Surplus power : 5,390 Mwh, gaining 30% of the plan,

NK fertilizer : 197,538 tons

* Business results of 2008

Target	Result of 2008	Plan of 2008 (*)	Result/Planned in 2008 (%)
Gross Revenue	6,625	4,405	150%
Profit before tax	1,495	1,190	126%
Net profit after tax	1,379	1,100	125%
Return on Equity Ratio	36%	29%	124%

(*) approved by the Annual Shareholder Meeting 2008

Supervising results of the BOD and the Board of Executive's management

Implementation of the BOD and the Board of Executive's management

In addition to the transformation of PVFCCo and growth in 2008, the implementation of production and trade plan faced many difficulties due to the global economic crisis. The business results, however, still ensured sustainable growth in compliance with law.

The Board of Supervisors evaluated and concluded the accuracy and transparency of financial reports, reflecting accurately the business activities. The Board also insisted the BOD and the Board of Executives' regulations be in accordance with regulations of a joint stock company, contributing to PVFCCo' success.



SALARY AND OTHER BENEFITS FOR MEMBERS OF THE BOARD OF DIRECTORS AND THE BOARD OF SUPERVISORS

PVFCCo offers salary to members of the BOD and the Board of Supervisors in accordance with the law and PVFCCo salary payment policy. These salaries are based on the abilities and contributions of individuals. Other benefits are applied according to the PVFCCo employment policy.

Regarding the non-members of the Board, PVFCCo offers salary according to role.

Bonuses are allocated from the after tax profit as per the Annual Shareholder Meeting's decision of bonus to members of the BOD and the Board of Supervisors.

CHANGES IN NUMBER OF SHAREHOLDINGS

NAME	Position	Number of share	
		Representing	Private ownership
Board of Directors			
Nguyen Xuan Thang	Chairman	76,204,253	5,000
Pham Thanh Vinh	Member	62,000,000	12,900
Cao Tung Son	Member	47,500,000	2,100
Tu Cuong	Member	47,500,000	0
Doan Minh Man	Member	6,195,790	0
Board of Executives			
Phan Dinh Duc	General Director		0
Cao Tung Son	Deputy General Director	As above	As above
Pham Thanh Vinh	Deputy General Director	As above	As above
Tu Cuong	Deputy General Director	As above	As above
Ngo Hong Minh	Deputy General Director		2,000
Nguyen Duc Hoa	Deputy General Director		7,700
Board of Supervisors			
Nguyen Thi Hien	Chief Supervisor		5,000
Nguyen Van Hoa	Member		0
Ta Anh Nghia	Member		5,000
Chief Accountant			
Huynh Kim Nhan	Chief Accountant		0

* The quantity of DPM shares represented by members of the PVFCCo's Board of Directors, is capital of the PetroVietnam Finance Corporation (PVFC), was updated as per the transaction report of PVFC at 31 December 2008,

INFORMATION ABOUT STOCK TRANSACTIONS OF MEMBERS OF BOARD OF DIRECTORS, BOARD OF EXECUTIVES, BOARD OF SUPERVISORS, CHIEF ACCOUNTANT, MAJOR SHAREHOLDERS AND RELATED PEOPLE

On February 20, 2008, PetroVietnam, founding shareholder and representative for the State's stake of PVFCCo, purchased 5,000,000 DPM shares from BIDV. After the deal, PetroVietnam holds 233,204,253 shares, or 61.37% stake meanwhile BIDV holds 14,000,000 shares, or 3.68% stake.

On July 31, 2008, Mr. Nguyen Duc Hien, younger brother of Mr. Nguyen Duc Hoa – Deputy General Director of PVFCCo, sold 5,000 DPM shares.

PetroVietnam Financial Corporation, which appointed the HCMC branch director to be member of the BOD who was later replaced by the Vung Tau branch director, has announced the following DPM stock transactions:

On January 01, 2008: started holding 4,946,000 shares

On January 29, 2008: registered to buy 1,000,000 shares

On February 14, 2008: registered to buy 200,000 shares

On February 21, 2008: announced to have bought 1,172,560 shares

On February 26, 2008: registered to buy 2,000,000 shares

On March 13, 2008: announced to have bought 1,942,300 shares

On July 15, 2008: registered to sell 2,000,000 shares

On August 18, 2008: registered to sell 1,000,000 shares

On August 18, 2008: announced to have sold 1,647,500 shares

On October 22, 2008: announced to have sold 217,570 shares

On November 24, 2008: registered to buy 2,000,000 shares

STATISTICAL DATA OF SHAREHOLDERS

(As per the shareholder list dated December 18, 2008)

Local shareholders

** Detailed information of local shareholder structure*

Shareholder	Quantity	Number of shares held	Percentage of Charter capital
Organization	188	283,725,064	74.80%
Individual	15,456	29,042,339	7.66%
Total	**15,644**	**312,767,403**	**82.46%**

** Detailed information of local majority shareholders*

	Name of Shareholder	Number of shares held	Percentage of charter capital
1	**Petrovietnam** Address: 18 Lang Ha, Ba Dinh District, Hanoi City	233,204,253	61.37%

Foreign shareholders

** Detailed information of foreign shareholders*

Shareholder	Quantity	Number of shares held	Percentage of charter capital
Organization	109	65,696,632	17.32%
Individual	466	845,965	0.22%
Total	**575**	**66,542,597**	**17.54%**

** Detailed information of foreign major shareholders*

PVFCCo does not have any foreign major shareholder.





CORPORATE SOCIAL RESPONSIBILITIES IN 2008



DPM SCHOLARSHIP PROGRAM

On 25 November 2008, PVFCCo announced and awarded 37 “DPM Honor scholarships” worth VND 740 millions to winners with the best result s in the 2008 nationwide university entrance examinations. In August 2008, PVFCCo Scholarship Fund was established for Vietnamese students from state universities. As per the regulations, PVFCCo will award scholarships worth VND 1.5 billion per year. The program includes 50 Honor Scholarships and 100 Encouragement Scholarships.

The Honor Scholarship is worth VND 20 million annually for each scholar and will be a stipend of VND 2 million over 10 months in the academic year to support students with excellent results. This Scholarship Program was designed for students with the highest university entrance examinations results, students with the highest or second highest score at their universities, and students who won national third award or higher in scientific research.

DPM scholarships grantees have the opportunity to work for PVFCCo, as well as the chance to win the local or overseas postgraduate program of PVFCCo and Petrovietnam.









Annual Report 2008



COMMUNITY ACTIVITIES





"Nha Dai Doan Ket" program in 25 provinces.

In 2008, PVFCCo donated VND 25 billion towards the building of 2,500 houses for the poor in 25 provinces.

"Tet for the poor"

PVFCCo in co-operation with Humanitarian Television and Vietnam Red Cross Association visited and presented gifts to 1,000 poor families in Phu Tho and Ha Giang Provinces in celebration of the traditional Lunar New Year "Tet" 2009.







Luong Dinh Cua Award

PVFCCo continues to be the main sponsor for Luong Dinh Cua Award. This award honors young farmers in the country's 64 cities and provinces who have excellent achievements and contributed to the countryside workforce.

Besides, in 2008, PVFCCo had many other charity activities, notably were the donation to the centers for disabled children, donation to Go Quao and Kien Giang provinces for building of concrete bridges to replace the old ones.





FINANCIAL STATEMENTS

Satement of the Board of General Director

The Board of General Directors of PetroVietnam Fertilizer and Chemicals Corporation - JSC ("the Corporation") presents this report together with the Corporation's audited consolidated financial statements for the year ended 31 December 2008.

THE BOARDS OF MANAGEMENT AND GENERAL DIRECTORS

The members of the Boards of Management and General Directors of the Corporation who held office during the year and at the date of this report are as follows:

Board of Management

Mr. Nguyen Xuan Thang	Chairman (assigned on 10 June 2008)
Mr. Dinh Huu Loc	Chairman (resigned on 10 June 2008)
Mr. Hoang Xuan Hung	Member (resigned on 10 June 2008)
Mr. Luu Quang Lam	Member (resigned on 10 June 2008)
Ms. Vu Thi Chon	Member (resigned on 10 June 2008)
Mr. Cao Tung Son	Member
Mr. Pham Thanh Vinh	Member (assigned on 10 June 2008)
Mr. Doan Minh Man	Member (assigned on 10 June 2008)
Mr. Tu Cuong	Member (assigned on 10 June 2008)

Board of General Directors

Mr. Phan Dinh Duc	General Director
Mr. Cao Tung Son	Deputy General Director
Mr. Ngo Hong Minh	Deputy General Director
Mr. Nguyen Duc Hoa	Deputy General Director
Mr. Pham Thanh Vinh	Deputy General Director (resigned on 1 February 2009)
Mr. Tu Cuong	Deputy General Director (assigned on 18 June 2008)
Mr. Nguyen Duc Thanh	Deputy General Director (assigned on 01 February 2009)

Satement of the Board of General Director

BOARD OF GENERAL DIRECTORS' STATEMENT OF RESPONSIBILITY

The Board of General Directors of the Corporation is responsible for preparing the financial statements of each year, which give a true and fair view of the financial position of the Corporation and of its results and cash flows for the year. In preparing those consolidated financial statements, the Board of General Directors is required to:

- Select suitable accounting policies and then apply them consistently;
- Make judgments and estimates that are reasonable and prudent;
- State whether applicable accounting principles have been followed, subject to any material departures disclosed and explained in the consolidated financial statements;
- Prepare the consolidated financial statements on the going concern basis unless it is inappropriate to presume that the Corporation will continue in business; and
- Design and implement an effective internal control system for the purpose of properly preparing the consolidated financial statements so as to minimise errors and frauds.

The Board of General Directors is responsible for ensuring that proper accounting records are kept, which disclose, with reasonable accuracy at any time, the financial position of the Corporation and to ensure that the consolidated financial statements comply with Vietnamese Accounting Standards, Vietnamese Accounting System and prevailing accounting regulations in Vietnam. It is also responsible for safeguarding the assets of the Corporation and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Board of General Directors confirms that the Corporation has complied with the above requirements in preparing these consolidated financial statements.

For and on behalf of the Board of General Directors,



Phan Dinh Duc
General Director
9 March 2009

Auditors' Report

To: Shareholders of PetroVietnam Fertilizer and Chemicals Corporation - JSC

We have audited the accompanying consolidated balance sheet of PetroVietnam Fertilizer and Chemicals Corporation - JSC and its subsidiaries ("the Corporation") as at 31 December 2008, and the related consolidated statements of income and cash flows for the year ended 31 December 2008. The accompanying consolidated financial statements are not intended to present the financial position, results of operations and cash flows in accordance with accounting principles and practices generally accepted in countries and jurisdictions other than Vietnam.

Respective Responsibilities of the Board of General Directors and Auditors

As stated in the Statement of the Board of General Directors on page 72, these consolidated financial statements are the responsibility of the Corporation's Board of General Directors. Our responsibility is to express an opinion on these consolidated financial statements based on our audit.

Basis of Opinion

We have conducted our audit in accordance with Vietnamese Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance that the consolidated financial statements are free of material misstatements. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the consolidated financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall consolidated financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion, the accompanying consolidated financial statements give a true and fair view, in all material respects, of the financial position of the Corporation as at 31 December 2008 and the results of its operations and its cash flows for the year then ended in accordance with Vietnamese Accounting Standards, Vietnamese Accounting System and prevailing accounting regulations in Vietnam.

Truong Anh Hung
Deputy General Director
CPA Certificate No.D.0029/KTV

Tran Huy Cong
Auditor
CPA Certificate No.0891/KTV

For and on behalf of
DELOITTE VIETNAM COMPANY LIMITED
9 March 2009
Hanoi ,S.R.Vietnam

Consolidated Balance Sheet

As at 31 December 2008

FROM B 01 - DN
Unit: VND

	ASSETS	Codes	Notes	31/12/2008	31/12/2007
A.	**CURRENT ASSETS (100 = 110+130+140+150)**	**100**		**2,692,502,473,588**	**2,467,577,133,514**
I.	**Cash and cash equivalent**	**110**	**4**	**942,714,032,012**	**1,972,351,999,312**
	1. Cash	111		377,682,920,901	472,351,999,312
	2. Cash equivalent	112		565,031,111,111	1,500,000,000,000
II.	**Short-term receivables**	**130**		**573,160,539,397**	**59,503,475,175**
	1. Trade accounts receivable	131		510,247,025,556	31,548,884,859
	2. Advances to suppliers	132		44,679,499,799	12,082,257,458
	3. Other receivables	135		18,234,014,042	15,872,332,858
III.	**Inventories**	**140**	**5**	**1,111,308,774,968**	**400,697,903,149**
	1. Inventories	141		1,745,083,357,015	400,697,903,149
	2. Provision for devaluation in inventories	149		(633,774,582,047)	-
VI.	**Other short-term assets**	**150**		**65,319,127,211**	**35,023,755,878**
	1. Short-term prepayments	151		7,745,648,304	4,089,127
	2. Tax receivables	152		47,830,387,092	24,384,745,406
	3. Taxes and amounts receivables from State Budget	154		1,173,687,501	-
	4. Other short-term assets	158		8,569,404,314	10,634,921,345
B.	**NON-CURRENT ASSETS (200=220+250+260)**	200		2,499,869,838,369	3,270,970,441,012
II.	**Fixed assets**	**220**		**1,899,295,208,973**	**2,780,644,407,614**
	1. Tangible fixed assets	221	6	1,682,719,544,377	2,676,671,691,243
	- Cost	222		5,414,642,652,715	5,359,733,355,855
	- Accumulated depreciation	223		(3,731,923,108,338)	(2,683,061,664,612)
	2. Intangible fixed assets	227	7	52,956,627,284	76,742,678,964
	- Cost	228		173,060,462,521	168,886,611,106
	- Accumulated amortization	229		(120,103,835,237)	(92,143,932,142)
	3. Construction in progress	230	8	163,619,037,312	27,230,037,407
III.	**Long-term investments**	**250**		**205,536,189,207**	**24,425,452,921**
	1. Other long-term financial investments	258	10	205,536,189,207	24,425,452,921
IV	**Other non-current assets**	**260**		**395,038,440,189**	**465,900,580,477**
	1. Long-term prepayments	261	11	387,207,005,193	465,866,580,477
	2. Deferred tax assets	262		6,996,279,876	-
	3. Other non-current assets	268		835,155,120	34,000,000
TOTAL ASSETS (270=100+200)		270		5,192,372,311,957	5,738,547,574,526

The notes set out on pages 79 to 92 are an integral part of these consolidated financial statements

Consolidated Balance Sheet

As at 31 December 2008

FROM B 01 - DN
Unit: VND

RESOURCES		Codes	Notes	31/12/2008	31/12/2007
A.	**LIABILITIES (300=310+330)**	**300**		**450,947,381,194**	**1,361,387,120,687**
I.	**Current liabilities**	**310**		**438,629,021,098**	**1,361,269,804,233**
	1. Short-term loans and liabilities	311		4,021,115,000	580,104,000,000
	2. Trade accounts payable	312		204,924,151,695	151,258,171,915
	3. Advance from customers	313		55,018,091,126	40,489,813,093
	4. Taxes and amounts payable to State Budget	314		16,442,465,388	3,737,797,330
	5. Payables to employees	315		35,928,528,647	24,497,197,555
	6. Accrued expenses	316	12	86,331,022,045	82,594,315,670
	7. Inter-company payables	317		7,482,863,650	115,472,039,955
	8. Other current payables	319	13	28,480,783,547	363,116,468,715
II.	**Long-term liabilities**	**330**		**12,318,360,096**	**117,316,454**
	1. Other long-term payables	333		90,000,000	-
	2. Long-term loans and liabilities	334		3,049,051,188	-
	3. Provision for severance allowance	336		9,179,308,908	117,316,454
B.	**EQUITY (400=410+430)**	**400**	**14**	**4,719,423,149,172**	**4,377,160,453,839**
I.	**Owners' equity**	**410**		**4,687,778,303,849**	**4,370,704,004,627**
	1. Chartered capital	411		3,800,000,000,000	3,800,000,000,000
	2. Treasury shares	414		(35,052,843,575)	-
	3. Investment funds	417		87,293,327,821	-
	4. Financial reserve funds	418		58,195,551,881	-
	5. Retained earnings	420		777,342,267,722	570,704,004,627
II.	**Other Funds**	**430**		**31,644,845,323**	**6,456,449,212**
	1. Bonus and welfare funds	431		31,644,845,323	6,456,449,212
C.	**Minority interest**	**439**		**22,001,781,591**	**-**
TOTAL RESOURCES (440=300+400+439)		**440**		**5,192,372,311,957**	**5,738,547,574,526**

S.Đ.K.K.D: 4103007696-C.T. TỔNG CÔNG TY PHÂN BÓN VÀ HÓA CHẤT DẦU KHÍ CÔNG TY CỔ PHẦN QUẬN 1 TP. HỒ CHÍ MINH

Phan Dinh Duc
General Director
9 March 2009

Huynh Kim Nhan
Chief Accountant

The notes set out on pages 79 to 92 are an integral part of these consolidated financial statements

Consolidated Income Statement

For the year ended 31 December 2008

FROM B 02 - DN
Unit: VND

ITEMS	Codes	Notes	31/12/2008	From 1/9/2007 31/12/2007
1. Gross sales of merchandise and services	**01**		**6,493,484,619,459**	**1,627,897,335,904**
2. Less deductions	02		18,116,840,523	8,792,724,689
3. Net sales of merchandise and services	**10**	**16**	**6,475,367,778,936**	**1,619,104,611,215**
4. Cost of goods sold	11	15	4,624,124,347,875	982,307,299,665
5. Gross profit from sales of merchandise and services	**20**	**15**	**1,851,243,431,061**	**636,797,311,550**
6. Financial income	21	16	143,126,641,895	44,468,845,204
7. Financial expenses	22	16	53,579,752,857	21,129,841,838
8. Selling expenses	24		224,595,494,856	39,436,828,786
9. General and administration expenses	25		221,330,110,229	49,400,053,417
10. Profit from operating activities '(30=20+21-22-24-25)	**30**		**1,494,864,715,014**	**571,299,432,713**
11. Other income	31		6,754,446,249	505,356,073
12. Other expenses	32		746,247,368	1,028,886,410
13. Profit/(Loss) from other activities	**40**		**6,008,198,881**	**(523,530,337)**
14. Profit before tax	**50**		**1,500,872,913,895**	**570,775,902,376**
15. Corporate income tax	51		122,577,274,515	71,897,749
16. Deferred corporate income tax	52		(6,996,279,876)	-
17. Net profit after corporate income tax (60=50-51-52)"	60		1,385,291,919,256	570,704,004,627
18. Attributable to minority interest	61		1,411,781,591	-
19. Attributable to equity holders of the parent	62		1,383,880,137,665	570,704,004,627
20. Earning per share	**70**	**17**	**3,646**	**1,502**

S.Đ.K.K.D: 4103007696-C.T.C.P TỔNG CÔNG TY PHÂN BÓN VÀ HÓA CHẤT DẦU KHÍ CÔNG TY CỔ PHẦN QUẬN 1 TP. HỒ CHÍ MINH

Phan Dinh Duc
General Director
9 March 2009

Huynh Kim Nhan
Chief Accountant

The notes set out on pages 79 to 92 are an integral part of these consolidated financial statements

Consolidated Cashflow Statement

For the year ended 31 December 2008

FROM B 03 - DN
Unit: VND

ITEMS	Codes	31/12/2008	From 1/9/2007 31/12/2007
I. CASH FLOWS FROM OPERATING ACTIVITIES			
1. Profit before tax	***01***	***1,500,872,913,895***	***570,775,902,376***
2. Adjustments for:			
Depreciation and amortization	02	1,079,409,545,754	360,063,307,157
Provisions	03	633,774,582,047	-
(Gain) from investing activities	05	(138,844,088,874)	(37,285,229,290)
Interest expense	06	30,989,544,667	20,936,742,592
3. Operating profit before movements in working capital	***08***	***3,106,202,497,489***	***914,490,722,835***
(Increase)/Decrease in receivables	09	(581,225,411,075)	61,775,325,209
(Increase)/Decrease in inventories	10	(1,344,385,453,866)	74,608,034,942
(Decrease) in accounts payable (not including accrued interest and business income tax payable)	11	(340,069,461,163)	(2,228,017,193,541)
Decrease in non - current assets and others	12	40,566,768,955	5,579,140,358
Interest paid	13	(30,989,544,667)	(35,362,261,935)
Coporate income tax paid	14	(118,279,735,465)	(130,923,665)
Other cash inflow	15	143,801,699	4,500,000
Other cash outflow	16	(58,103,400,456)	(4,903,800,126)
Net cash from/(used in) operating activities	**20**	**673,860,061,451**	**(1,211,956,455,923)**
II. CASH FLOWS FROM INVESTING ACTIVITIES			
1. Acquisition of fixed assets and other long-term assets	21	(116,473,217,460)	(8,500,210,761)
2. Cash recoverd from investments	24	-	10,000,000,000
3. Long term investments	25	(179,031,806,286)	
4. Cash recovered investment in other entities	26	-	
5. Cash from interest, dividend	27	123,830,369,382	37,285,229,290
Net cash (used in)/from investing activities	**30**	**(171,674,654,364)**	**38,785,018,529**
III. CASH FLOWS FROM FINANCING ACTIVITIES			
1. Cash from capital contributed by owners	31	20,590,000,000	-
2. Cash paid for buying stock already issued by entities	32	(35,052,843,575)	-
3. Proceeds from borrowings	33	17,157,321,716	-
4. Repayment of borrowings	34	(590,191,155,528)	(437,976,000,000)
5. Dividends paid	36	(944,326,697,000)	-
Net cash (used in) financing activities	**40**	**(1,531,823,374,387)**	**(437,976,000,000)**
Net decrease in cash and cash equivalents	**50**	**(1,029,637,967,300)**	**(1,611,147,437,394)**
Cash and cash equivalents at beginning of year	**60**	**1,972,351,999,312**	**3,583,499,436,706**
Cash and cash equivalents at end of year	**70**	**942,714,032,012**	**1,972,351,999,312**

Phan Dinh Duc
General Director
9 March 2009

Huynh Kim Nhan
Chief Accountant

The notes set out on pages 79 to 92 are an integral part of these consolidated financial statements

Notes to the Consolidated Financial Statements

1. GENERAL INFORMATION

Structure of ownership

PertroVietnam Fertilizer and Chemicals Corporation - JSC ("the Corporation") (formerly PetroVietnam Fertilizer and Chemicals Joint Stock Company), whose shares are listed on Ho Chi Minh Stock Exchange, was established under the Business Registration Certificate No.4103007696 dated 31 August 2008 and as amended on 15 May 2008 by Ho Chi Minh City Department of Planning and Investment. On 01 September 2008, the Corporation transformed its operation into parent-subsidiary model.

The parent company of the Corporation is Vietnam Oil and Gas Group which holds 61.37 % of its charter capital.

Principal activities

The principal activities of the Corporation and its subsidiaries are to produce and do business in fertilizer, liquid ammonia, industrial gas, other chemicals; technical services relating to production and trading of fertilizer and other related chemicals (excluding heavily toxic chemicals); producing and trading of electricity; real estate, trading of agriculture and forestry products, goods transport services by inbound waterway and car, processing of oil and gas-related products and minerals and service of vocational training.

The total number of employees of the Corporation and its subsidiaries are 1,475 as at 31 December 2008 (31 December 2007: 1,052).

2. ACCOUNTING CONVENTION AND ACCOUNTING PERIOD

Accounting convention

The accompanying consolidated financial statements, expressed in Vietnamese Dong (VND), are prepared under the historical cost convention and in accordance with Vietnamese Accounting Standards, Vietnamese Accounting System and prevailing accounting regulations in Vietnam.

Accounting period

The Corporation's financial year begins on 01 January and ends on 31 December.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies, which have been adopted by the Corporation in the preparation of these consolidated financial statements, are as follows:

Estimates

The preparation of consolidated financial statements in conformity with Vietnamese Accounting Standards, Vietnamese Accounting System and prevailing accounting regulations in Vietnam requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities and disclosures of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Corporation and enterprises controlled by the Corporation (its subsidiaries). Control is achieved where the Corporation has the power to govern the financial and operating policies of an investee enterprise so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed of during the year are included in the consolidated income statement from the effective date of acquisition or up to the effective date of disposal, as appropriate.

Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used in line with those used by the Corporation.

All inter-company transactions and balances between group enterprises are eliminated on consolidation.

Minority interests in the net assets of consolidated subsidiaries are identified separately from the Corporation's equity therein. Minority interests consist of the amount of those interests at the date of the original business combination and the minority's share of changes in equity since the date of the combination.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, demand deposits and short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Inventories

Inventories are stated at the lower of cost and net realizable value. Cost comprises direct materials and where applicable, direct labor costs and those overheads that have been incurred in bringing the inventories to their present location and condition. Cost is calculated using the weighted average method less the cost of materials which is measured using the first-in first-out method. Net realizable value represents the estimated selling price less all estimated costs to completion and costs to be incurred in marketing, selling and distribution.

The evaluation of necessary provision for inventory obsolescence follows current prevailing accounting regulations, which allow provisions to be made for obsolete, damaged, or sub-standard inventories which have a book value higher than net realisable value as at the balance sheet date.

Tangible fixed assets and depreciation

Tangible fixed assets are stated at cost less accumulated depreciation. The cost of purchased tangible fixed assets comprises its purchase price and any directly attributable costs of bringing the assets to its working condition and location for its intended use. Tangible fixed assets are depreciated using the straight-line method over the following estimated useful lives in conformity with the Decision No.206/2003/QD-BTC dated 12 December 2003 issued by the Ministry of Finance:

	Years
Building and structures	6 - 20
Machinery, equipment	3 - 6
Motor vehicles	6
Office equipment	3 - 5

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Intangible fixed assets and amortization

Intangible fixed assets represent cost of site clearance and computer software, which are stated at cost less accumulated amortisation. That cost of site clearance is amortized using the straight-line method over 6 years, the computer software is amortised using the straight-line method over 3 years.

Construction in progress

Properties in the course of construction for production, rental or administrative purposes, or for the purposes not yet determined, are carried at cost. Cost includes professional fees, and for qualifying assets, borrowing costs dealt with in accordance with the Corporation's accounting policy. Depreciation of these assets, on the same basis as other property assets, commences when the assets are ready for their intended use.

Other long – term investments

Long-term investments are recognized since its purchase date and their initial value are carried at cost. Provision for dimunition of other long-term investments are made in accordance with the prevailing regulations.

Long-term prepayments

Long-term prepayments include land rental, business privilege fee and other long-term prepayments.

Land rental pre-paid is amortised on the straight-line basis over the lease term.

Business privilege fee incurred in the valuation of the enterprise for equitisation purpose in the amount of VND 531,700,794,477 and has been allocated to income for 6 years from 1 January 2007. According to the Board of General Directors' judgement, allocating that business privilege fee within 6 years is in accordance with financial regulations applicable to privatised State-owned enterprises and estimated useful lives of production line.

Other types of long-term prepayments comprise of tools and spare parts which are considered to provide future economic benefits to the Corporation for more than one year and assets insurance fee. The expenditures including tools and spare parts have been capitalised as long-term prepayments, and are allocated to income using the straight-line method over two years. Asset insurance fee is amortised over the validity duration of the insurance contract.

Provisions

Provisions are recognised when the Corporation has a present obligation as a result of a past event, and it is probable that the Corporation will be required to settle that obligation. Provisions are measured at the management's best estimate of the expenditure required to setter the obligation at the balance sheet date.

Revenue recognition

Revenue is recognised when the outcome of such transaction can be measured reliably and it is probable that the economic benefits associated with the transaction will flow to the Corporation. Sales of goods are recognised when goods are delivered and title has passed.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Foreign currencies

Transactions arising in foreign currencies are translated at exchange rates ruling at the transaction date. Foreign exchange differences arising from these transactions are recognised in the consolidated income statement.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the rates of exchange prevailing on the balance sheet date. Exchange differences arising from the translation of these accounts are recognised in the consolidated income statement.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the cost of those assets.

All other borrowing costs are recognised in the consolidated income statement when incurred.

Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the consolidated income statement because it excludes items of income or expense that are taxable or deductible in other years (including loss carried forward, if any) and it further excludes items that are never taxable or deductible.

For fertilizer production at Phu My Fertilizer Plant: the Corporation is obliged to pay corporate income tax at the rate of 15% its assessable income. The Corporation is entitled to corporate income tax exemption for four years from the first profit-making year and a 50% reduction in tax payable for the seven years thereafter. The year 2008 is the Corporation's fifth profit - making year (since the Corporation's commencement of operation) so is also the first year the Corporation has taxable income. During the year, losses from other activities have been offset against profit gained from activities under tax incentive and the taxable income remaining after such offsetting will continue to enjoy a 50 % reduction in tax payable.

For other business activites: the Corporation's corporate income tax rate is applied 28% of its taxable income.

The determination of corporate income tax due is based on the current interpretation of tax regulations. However, these regulations are subject to periodic variation and its ultimate determination depends on the results of tax authorities' examination.

Deferred tax is recognised on significant differences between carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit and is accounted for using balance sheet liability method. Deferred tax liabilities are generally recognised for all temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which deductible temporary differences can be utilised.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset realised. Deferred tax is charged or credited to profit or loss, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Taxation (Continued)

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Corporation intends to settle its current tax assets and liabilities on a net basis.

Other taxes are paid in accordance with the prevailing tax laws in Vietnam.

4. CASH AND CASH EQUIVALENTS

	31/12/2008	31/12/2007
	VND	VND
Cash on hand	1,977,229,032	985,956,196
Cash in bank	375,705,691,869	471,366,043,116
Cash equivalents	565,031,111,111	1,500,000,000,000
	942,714,032,012	1,972,351,999,312

Cash equivalents represent the time deposit for 3 months in commercial banks and PetroVietnam Finance Corporation.

5. INVENTORIES

	31/12/2008	31/12/2007
	USD	USD
Goods in transits	6,529,806,927	2,290,500,184
Raw materials	304,651,138,635	281,883,632,044
Tools and dies	8,362,137,594	762,876,319
Work in process	102,603,472,862	2,071,733,619
Finished product	35,947,898,937	103,803,751,096
Commercial goods	1,286,988,902,060	9,885,409,887
Total	1,745,083,357,015	400,697,903,149
Less: Provision for devaluation of inventories	(633,774,582,047)	-
Net realisable value	**1,111,308,774,968**	**400,697,903,149**

The provision for devaluation of inventories is principally for the value of imported goods as at 31 December 2008 with the cost thereof being VND 1,286,988,902,060.

6. TANGIBLE FIXED ASSETS

	Buildings & Plant VND	Machinery & Equipment VND	Vehicles VND	Office Equipment VND	Total VND
COST					
As at 01/01/2008	557,070,064,856	4,741,399,151,568	52,057,015,396	9,207,124,035	5,359,733,355,855
Purchase	10,230,407,905	32,363,916,835	2,744,985,797	4,027,262,472	49,366,573,009
Transferred from CIP	7,024,876,166	-	-	22,053,310	7,046,929,476
Other increase	-	-	-	-	-
Disposals	-	-	-	(751,494,164)	(751,494,164)
Other decrease	(200,508,320)	-	-	(552,203,141)	(752,711,461)
As at 31/12/2008	574,124,840,607	4,773,763,068,403	54,802,001,193	11,952,742,512	5,414,642,652,715
ACCUMULATED DEPRECIATION					
As at 01/01/2008	207,974,838,983	2,446,300,198,950	23,646,675,295	5,139,951,384	2,683,061,664,612
Charge for the year	115,715,768,231	922,920,870,835	10,051,908,485	2,761,095,108	1,051,449,642,659
Other increase	-	-	-	9,188,880	9,188,880
Disposals	-	-	-	(751,494,164)	(751,494,164)
Other decrease	(1,299,096,860)	-	-	(546,796,789)	(1,845,893,649)
As at 31/12/2008	322,391,510,354	3,369,221,069,785	33,698,583,780	6,611,944,419	3,731,923,108,338
NET BOOK VALUE					
As at 01/01/2008	**349,095,225,873**	**2,295,098,952,618**	**28,410,340,101**	**4,067,172,651**	**2,676,671,691,243**
As at 31/12/2008	**251,733,330,253**	**1,404,541,998,618**	**21,103,417,413**	**5,340,798,093**	**1,682,719,544,377**

7. INTANGIBLE FIXED ASSETS

	License	Others	Software	Total
	VND	VND	VND	VND
COST				
As at 01/01/2008	159,117,493,074	9,538,318,032	230,800,000	168,886,611,106
Purchase	-	-	4,173,851,415	4,173,851,415
As at 31/12/2008	**159,117,493,074**	**9,538,318,032**	**4,404,651,415**	**173,060,462,521**
ACCUMULATED AMORTISATION				
As at 01/01/2008	86,771,188,902	5,201,509,773	171,233,467	92,143,932,142
Charge for the year	26,278,253,976	1,575,253,212	106,395,907	27,959,903,095
As at 31/12/2008	**113,049,442,878**	**6,776,762,985**	**277,629,374**	**120,103,835,237**
NET BOOK VALUE				
As at 01/01/2008	**72,346,304,172**	**4,336,808,259**	**59,566,533**	**76,742,678,964**
As at 31/12/2008	**46,068,050,196**	**2,761,555,047**	**4,127,022,041**	**52,956,627,284**

8. CONSTRUCTION IN PROGRESS

	2008	From 1/9/2007 to 31/12/2007
	VND	VND
Openning balance	27,230,037,407	26,946,592,326
Additions	143,435,929,381	5,702,038,190
Transfer to fixed assets	(7,046,929,476)	(5,418,593,109)
Closing balance	163,619,037,312	27,230,037,407

9. INVESTMENTS IN SUBSIDIARIES

Details of the Corporation's subsidairies at 31 December 2008 are as follows:

Name of subsidiary	Place of incorporation (or registration) and operation	Proportion of ownership interest and voting power (%)	Principal activity
Fertilizer and Chemicals Trading-Service Company Limited	Hochiminh City	100	Trading of fertilizer and chemicals
Middle Petro Vietnam Fertilizer and Chemicals one member Limited Liability Company	Binh Dinh	100	Trading of fertilizer and chemicals
Weatern Petro Vietnam Fertilizer and Chemicals one member Limited Liability Company	Can Tho	100	Trading of fertilizer and chemicals
Dong Nam Bo Petro Vietnam Fertilizer and Chemicals Company Limited	Hochiminh City	100	Trading of fertilizer and chemicals
Northern Petro Vietnam fertilizer and Chemicals one member Company Limited.	Hanoi	100	Trading of fertilizer and chemicals
Phu My Fertilizer packaging joint stock Company	Ba Ria –Vungtau	51	Package manufacturing

10. OTHER LONG-TERM INVESTMENTS

	31/12/2008	31/12/2007
	VND	VND
Contributed capital in Project at 43 Mac Dinh Chi	155,031,806,286	-
Investment in shares	16,504,382,921	14,425,452,921
Investment in bonds	10,000,000,000	10,000,000
Others	24,000,000,000	-
	205,536,189,207	24,425,452,921

11. LONG-TERM PREPAYMENTS

	31/12/2008	31/12/2007
	VND	VND
Lend rental	7,303,726,957	7,865,552,109
Business privileges	354,467,196,316	443,083,995,397
Others	25,436,081,920	14,917,032,971
	387,207,005,193	465,866,580,477

11. LONG-TERM PREPAYMENTS (Continued)

Land rental includes:

- Amount paid for the land rental of 634,595.35 m2 in Phu My 1 Industrial Zone, which was prepaid to Infrastructure Exploitation and Investment Company in Dong Xuyen and Phu My 1 Industrial Zones for 17 years from 3 September 2004.

- Amount paid for the land rental of 20,000 m2 in Nhon Binh Industrial Cluster, Quy Nhon City which was prepaid for PBC Infrastructure Development Service JSC for 45 years from 1 January 2007.

12. ACCRUED EXPENSES

	31/12/2008	31/12/2007
	VND	VND
Repair and maintenance	73,626,023,370	73,937,620,500
Interest	-	3,636,452,737
Others	12,704,998,675	5,020,242,433
	86,331,022,045	82,594,315,670

The Corporation estimated maintenance, repair expenses of Phu My Fertilizer Plant in 2009 with the amount of USD 4,336,809.91, equivalent to VND 73,626,023,370 .

13. OTHER CURRENT PAYABLES

	31/12/2008	31/12/2007
	VND	VND
Payaples due to equitization	-	354,106,085,435
Others	28,480,783,547	9,010,383,280
	28,480,783,547	363,116,468,715

14. OWNERS' EQUITY

	Charter capital	Treasury shares	Development& Investment Funds	Financial reserve funds	Bonus and welfare funds	Retained earnings	Total
	VND	VND	VND	VND	VND	VND	VND
As at1/1/2008	**3,800,000,000,000**	**-**	**-**	**-**	**6,456,449,212**	**570,704,004,627**	**4,377,160,453,839**
Profit for the year	-	-	-	-	-	1,383,880,137,665	1,383,880,137,665
Treasury shares acquired for the year (1)	-	(35,052,843,575)	-	-	-	-	(35,052,843,575)
Profit distribution (2)	-	-	87,293,327,821	58,195,551,881	83,147,994,868	(228,636,874,570)	-
Dividends (3)	-	-	-	-	-	(948,605,000,000)	(948,605,000,000)
Other increases	-	-	-	-	143,801,699	-	143,801,699
Disbursements	-	-	-	-	(58,103,400,456)	-	(58,103,400,456)
As at 31/12/2008	**3,800,000,000,000**	**(35,052,843,575)**	**87,293,327,821**	**58,195,551,881**	**31,644,845,323**	**777,342,267,722**	**4,719,423,149,172**

During the year, the Corporation has acquired 721,820 treasury shares in total according to the Resolution of the annual shareholders'meeting on 05 April 2008.

During the year, the Corporation has distributed to Investment and Development funds, Financial Reserve funds and bonus and welfare funds at respective rates of 15%, 10% and 5% out of the profit after tax for the year ended 31 December 2007 according to the Resolution of the annual shareholders'meeting on 05 April 2008.

On 05 April 2008, the Corporation declared and paid dividends for the period from 1 September 2007 to 31 December 2007 with the amount of VND379,630,000,000 (VND1,000/share) according to the Resolution of the annual shareholders'meeting on 05 April 2008. On 12 September 2008 and 05 December 2008, the Corporation declared and temporarily paid the dividends of the year with the respective amounts of VND397,320,000,000 (VND1,000/share) and VND189,655,000,000 (VND500/share) according to the Resolution No.145/NQ-HDQT and the Resolution No. 209/NQ-HDQT of the Board of Management.

14. OWNERS' EQUITY (Continued)

Charter capital is in detail:

Shareholders	Proportion (%)	31/12/2008 VND	31/12/2007 VND
Vietnam Oil & Gas Group	61.37	2,332,042,530,000	2,282,042,530,000
Others	38.63	1,467,957,470,000	1,517,957,470,000
	100	3,800,000,000,000	3,800,000,000,000

The number of shares registered and issued to public by the Corporation as at 31 December 2008 was 380,000,000, in which the Corporation was holding 721,820 treasury shares (equivalent to 721,820 shares). The par value is VND10,000 per share.

15. BUSINESS SEGMENTS

The Corporation reports its business activities by two business segments: locally-produced products and imported goods. The results of the business segments are as follows:

2008

	Locally-produced goods	Imported goods	Total
	VND	VND	VND
Revenue	4,996,601,957,083	1,478,765,821,853	6,475,367,778,936
Cost of goods sold	(2,136,473,851,625)	(2,487,650,496,250)	(4,624,124,347,875)
In which: Provision for devaluation of inventories	-	*(633,774,582,047)*	*(633,774,582,047)*
Gross profit	**2,860,128,105,458**	**(1,008,884,674,397)**	**1,851,243,431,061**

From 01 September 2007 to 31 December 2007:

	Locally-produced goods	Imported goods	Total
	VND	VND	VND
Revenue	1,422,748,451,554	196,356,159,661	1,619,104,611,215
Cost of goods sold	(790,540,314,089)	(191,766,985,576)	(982,307,299,665)
Gross profit	**632,208,137,465**	**4,589,174,085**	**636,797,311,550**

15. BUSINESS SEGMENTS (Continued)

Revenue from locally-produced products is as follows:

	2008	From 1/9/2007 to 31/12/2007
	VND	VND
Sale of Urea	4,804,480,889,454	1,342,764,893,566
Sale of Ammonia	181,747,777,527	87,537,105,963
Sale of electricity	2,890,547,806	698,924,100
Sale of packaging	25,512,902,335	-
Other	86,680,484	540,252,614
	5,014,718,797,606	1,431,541,176,243
Sale discounts	(18,116,840,523)	(8,792,724,689)
Net sales	**4,996,601,957,083**	**1,422,748,451,554**

16. FINANCIAL INCOME AND EXPENSES

	2008	From 1/9/2007 to 31/12/2007
	VND	VND
Financial income		
Interest income	135,775,188,874	37,285,229,290
Dividend	3,068,900,000	-
Others	4,282,553,021	7,183,615,914
	143,126,641,895	44,468,845,204
Financial expense		
Loan interest	30,989,544,667	20,936,742,592
Others	22,590,208,190	193,099,246
	53,579,752,857	21,129,841,838
Profit from financial activities	**89,546,889,038**	**23,339,003,366**

17. EARNINGS PER SHARE

The calculation of earnings per share based on the following figures:

	2008	From 1/9/2007 to 31/12/2007
	VND	VND
Earnings for the purposes of basic earnings per share:	1,383,880,137,665	570,704,004,627
Weighted average number of common shares for determining basis earnings per share	379,551,586	380,000,000
Earnings per share	3,646	1,502

18. TRANSACTIONS AND BALANCES WITH RELATED PARTIES

During the year, the Company entered into the following significant transactions with related parties:

	2008	From 1/9/2007 to 31/12/2007
	VND	VND
Paid to Vietnam Oil & Gas Group	607,033,326,633	1,130,729,736,408
- Dividend	*583,010,632,500*	-
- Profit payables	-	*1,047,724,911,360*
- Management fee	*24,022,694,133*	-
- State-owned capital payables	-	*66,163,342,858*
- Interest on receipts from selling state owned capital	-	*16,841,482,190*
Time deposits at PetroVietnam Finance JS Corporation	220,031,111,111	160,000,000,000
Selling URE to PetroVietnam's subsidiaries	435,434,870,520	431,917,052,236
Buying gas from PetroVietnam Gas Corporation	682,149,583,169	240,251,335,534
Remuneration of Boards of Management and Directors	5,731,830,902	1,310,127,043

Related party balances at the balance sheet date were as follows:

	31/12/2008	31/12/2007
	VND	VND
Payable to Vietnam Oil & Gas Group	7,482,863,850	469,578,125,390
Time deposits at PetroVietnam Finance JS Corporation	220,031,111,111	160,000,000,000
Payable to PetroVietnam Gas Corporation	144,433,524,088	124,019,715,984
Payable to PetroVietnam Construction Joit Stock Corporation	28,564,128,583	10,108,309,560
Advance PetroVietnam Construction Joit Stock Corporation	18,493,713,076	1,913,843,000

19. COMMITMENTS

Operating lease commitments

On 03 September 2005, the Corporation was handed over with a land-subleasing contract No. 178/HD/TLD/UDEC.2001 dated 01 June 2001 signed between the PMU of Phu My Fertilizer Plant and Ba Ria-Vung Tau Urban Development and Construction Company for long-term rental of land and infrastructure in Phu My I Industrial Zone, Tan Thanh Commune, Ba Ria – Vung Tau Province. The contract is valid for 20 years.

On 2 June 2008, the Corporation entered into an office leasing contract No. 015 GT/2008-HDTC with Gemadept JSC for a validity duration of 3 years with the contractual value of VND 21.9 billion per annum.

Repayment schedule of the above commitments as at the balance sheet date are as follows:

	31/12/2008	31/12/2007
	VND	VND
Within one year	25,228,749,620	7,414,006,766
In the second to fifth year inclusive	43,807,660,901	13,593,968,418
After five years	23,039,586,373	27,187,936,836
	92,075,996,894	48,195,912,020

Capital commitments

According to the Decision No. 033/DQ-HDQT dated 24 March 2008, the Corporation's Board of Management approved on a construction project of the system for CO2 production from Primary Reformer exhaust fumes at Phu My Fertilizer Plant with the total investment amount of VND368,757,439,000 and as amended being VND606,869,000,000 in the Decision No. 164/QD-HDQT dated 16 October 2008.

According to the Document No. 4155/DKVN – CBDK , Vietnam Oil and Gas Group approved on the Corporation's investment into a construction project of DAP producing plant in Maroc with total investment amount of USD600 million.

Other commitments

As per the contract for purchasing gas No.188/2006-2007/PVGAS/TM-PVFCCO/B1 dated 31 March 2006 and appendum added thereto signed with PetroVietnam Gas Corporation, the purchase price of gas at Cuu Long gas tank in 2009 is 2.2 USD/MMBTU (2008:2.2USD/MMBTU) and the price of gas at Nam Con Son is 3.41USD/MMBTU applicable up to 31 March 2009 and 3.48USD/MMBTU applicable up to 31 December 2009 (2008: 3.41USD/MMBTU).

20. COMPARATIVE FIGURES

The Corporation officially transformed into a joint stock company on 1 September 2007, accordingly, no corresponding comparative figures in the income and cash flow statements for the year ended 31 December 2008. The previous period's figures presented under the column represent those figures for the operating period from 1 September 2007 (Official transformation date) to 31 December 2007.



PETROVIETNAM FERTILIZER AND CHEMICALS CORPORATION

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